A

Project Report On

"An Industry Analysis of the Non-Alcoholic Beverage Market Using PESTLE and Porter's Five Forces with Growth Trends and Market Outlook, with Special Reference to Absolute Report,Pune. "

Submitted to

SHIVAJI UNIVERSITY, KOLHAPUR

In Partial fulfillment for the Degree of

Master of Business Administration

Submitted by

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Under the guidance of

Dr. JYOTI JOSHI

Through

The Director
Deccan Education Society's

Chintamanrao Institute of Management Development & Research, Sangli

In the Year

2025-2026

CERTIFICATE

This is to certify that the project report prepared and submitted by **Mr. Avishkar Gajendra Jadhav** on the subject "**An Industry Analysis of the Non-Alcoholic Beverage Market Using PESTLE and Porter's Five Forces with Growth Trends and Market Outlook, with Special Reference to Absolute Report, Pune.**" is an original work. He has not copied data from any other project report submitted to the university previously.

The data collected by the student is independent research work carried out under my guidance during his project work.

Date:

Place: - CIMDR, Sangli

Dr. Jyoti Joshi	Dr. Sweta Metha
Project Guide	**I/C** Director

DECLARATION

I undersigned, hereby declare that the project report entitled "**An Industry Analysis of the Non-Alcoholic Beverage Market Using PESTLE and Porter's Five Forces with Growth Trends and Market Outlook, with Special Reference to Absolute Report, Pune.**"

Submitted by me under the guidance of Dr. Jyoti Joshi is my original work. The empirical findings in this report are based on the data collected by myself. The matter collected in this report is not a reproduction from any source.

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Mr. Avishkar Gajendra Jadhav

ACKNOWLEDGEMENT

Gratitude is the hardest emotion to express & often one doesn't find adequate words to convey that entire one feels.

It is my foremost duty to express my deep sense of gratitude & respect to the guide Dr. Jyoti Joshi for her uplifting tendency & inspiring me for taking up this project work completely successful.

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I am indebted to the library personnel for offering all the help to complete the project work. Last but not the least I am thankful to my parents, friends & those helped me directly or indirectly throughout this project work.

Date:

Place: Sangli.

Mr. Avishkar Gajendra Jadhav

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1. INTRODUCTION

1.1 Introduction

The non-alcoholic beverage (NAB) industry has emerged as one of the fastest-growing segments in the global FMCG landscape, shaped by rising health consciousness, rapid urbanisation, and strong demand for both convenience-oriented and functional beverages. India, in particular, represents a large under-penetrated market where per-capita consumption is significantly lower than global averages, yet showing strong year-on-year growth across bottled water, juices and soft drinks. This makes the industry an important area of academic and managerial study.

Within this evolving market, CavinKare, a leading Indian FMCG company known for its innovation-driven approach, has built strong equity in the non-carbonated beverages category through brands like Maa (buttermilk and lassi) and Chinni's (fruit beverages). With growing consumer preference for small packs, value offerings, and regional flavours, the company is now exploring opportunities to enter the carbonated soft drink (CSD) segment a segment dominated by global giants but offering immense scope for targeted regional penetration.

Studying this industry through PESTLE analysis provides a comprehensive understanding of external macro-environmental factors shaping growth, regulation, and competitive pressure. Further, a Porter's Five Forces–based case study on CavinKare helps evaluate its strategic positioning, future competitiveness, entry barriers, rivalry, and supplier/distributor dynamics in the CSD category. Together, these analyses strengthen the understanding of how an Indian player can compete in a market where multinational companies hold significant market and channel power.

India's NAB sector is expanding rapidly but remains highly concentrated, with Coca-Cola and PepsiCo commanding over 80% market share creating an important academic need to evaluate how Indian firms can create competitive advantage. There is increasing consumer movement toward regional flavours, value pricing and functional benefits, creating new strategic openings for companies like CavinKare. This study supports academic learning by connecting real corporate strategy with analytical frameworks, helping students understand how a domestic FMCG player can scale in a globally competitive market.

1.2 Objectives of the Study

1. To analyse the global and Indian non-alcoholic beverage industry using key quantitative indicators and secondary data.
2. To apply the PESTLE framework to understand macro-environmental forces affecting the non-alcoholic beverage sector in India.
3. To conduct a Porter's Five Forces analysis for evaluating competitive intensity and market structure of the Indian soft drink segment.
4. To develop a case study on CavinKare focusing on its strengths, challenges, opportunities, and strategic potential in the CSD category.
5. To examine consumer, regulatory and distributional factors that shape the growth prospects for new entrants in the NAB industry.
6. To provide strategic insights and managerial recommendations for CavinKare's soft drink expansion.

1.3 Scope of the Study

- The study covers global, regional and Indian market trends, including revenue, consumption patterns, product categories and distribution channels.
- It focuses primarily on three major categories: soft drinks, bottled water and juices.
- The research uses PESTLE to analyse India's NAB environment and Porter's Five Forces to assess competitive forces influencing CavinKare's entry into carbonated soft drinks.
- The scope includes both at-home and out-of-home beverage consumption patterns.
- Secondary data from authentic global and Indian industry sources (Statista, UN Comtrade, company reports, government sources) is used.
- The scope is limited to non-alcoholic beverages only, excluding alcoholic drinks and dairy milk.

1.4 Limitations of the Study

1. The study is based primarily on secondary data, which may vary across different databases.
2. Market figures for future years rely on projections and forecasts, which are subject to economic and policy changes.
3. The case study on CavinKare is limited to publicly available information and may not include confidential strategic details.
4. Consumer behaviour analysis remains generalised due to the absence of primary field data.
5. Some regional insights may be constrained by limited state-wise beverage consumption data availability.
6. Competitive analysis is limited to the non-alcoholic beverage industry and does not consider adjacent categories like dairy, snacking or packaged foods.

1.5 Research Design

The present study follows a descriptive and exploratory research design.

- The descriptive component aims to summarise and analyse market size, trends, consumption patterns, and competitive structures in the global and Indian non-alcoholic beverage (NAB) industry.
- The exploratory component focuses on CavinKare's potential entry into the carbonated soft drink market by applying qualitative business frameworks such as PESTLE and Porter's Five Forces, which help uncover strategic opportunities and threats.

This combination enables a clear understanding of both the industry environment and the company's competitive position.

1.6.1 Data Sources

The study relies primarily on **secondary data**, collected from reputable and credible sources.

1.6.1 Secondary Data Sources

- Global market reports (Statista, Euromonitor, Fortune Business Insights, Allied Market Research)
- Government sources (FSSAI, Ministry of Commerce, UN Comtrade)
- Company annual reports (Coca-Cola, PepsiCo, Nestlé, CavinKare)

- International organisations (World Bank, IMF for GDP data)
- Websites of market players and industry associations

Secondary data is appropriate because the project focuses on **industry-level insights**, market structures, and strategic frameworks that can be best captured through existing validated sources.

1.7 Data Collection Methods

1. Document Analysis:

Reviewing industry reports, company publications, academic literature, regulatory documents, and market statistics.

2. Desk Research:

Compiling numerical data such as GDP growth, market revenue, product-wise segmentation, and regional consumption trends.

3. Comparative Analysis:

Comparing performance of global players and Indian brands, and assessing CavinKare's strategic strengths vis-à-vis multinational competitors.

Type of Data Measurement

- **Nominal Measurement:** Categories of products, brands, packaging types.
- **Ordinal Measurement:** Ranking of countries, top markets, consumption hierarchies.
- **Ratio and Interval Data:** Revenues, market sizes, volume shares, consumption per capita.

1.8 Research Approach

- The study follows an **inductive research approach**, where conclusions and strategic insights emerge from systematic interpretation of existing data, industry behaviour, and competitive analysis rather than hypothesis testing.

2. THEROTICAL BACKGROUND

2.1 Introduction

Beverages are one of the oldest and most essential categories of human consumption. At their simplest level, beverages fulfil the universal biological need for hydration, but over time they have evolved into products that provide taste, refreshment, nutrition, social value, cultural identity, and lifestyle expression. The global beverage industry operates at the intersection of food science, consumer behaviour, culture, and commercial innovation, making it one of the most diverse and rapidly evolving sectors. Broadly, beverages are classified into alcoholic and non-alcoholic categories, each reflecting fundamentally different purposes, consumption patterns, regulations, and cultural roles.

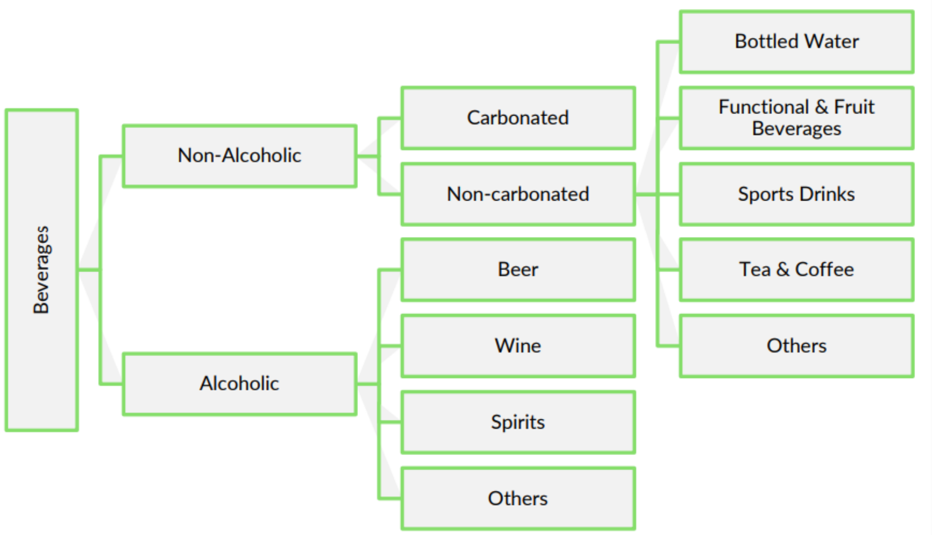

Fig 2.1.Types of Beverages

2.1.1 Alcoholic Beverages

Alcoholic beverages contain more than 0.5% alcohol by volume (ABV) and are produced through fermentation, distillation, or blending processes. This category includes beer, wine, spirits, ciders, and flavoured alcoholic drinks. Alcoholic beverages primarily serve social and recreational functions. They are often associated with celebrations, hospitality, and cultural traditions. However, because of their intoxicating properties, alcoholic drinks are subject to strict regulatory control related to manufacturing standards, taxation, advertising, distribution age limits, and consumption rules .From an industry perspective, alcoholic beverages contribute significantly to government revenue through excise duties and are dominated by strong brand identities and heritage-based marketing. Despite their popularity, rising health awareness, lifestyle changes, and regulatory pressures have influenced consumption behaviour in many global markets.

2.1.2 Non-Alcoholic Beverages

Non-alcoholic beverages are drinks that contain no alcohol or an alcoholic content below 0.5% by volume, making them safe and appropriate for consumption across all age groups, cultures and health conditions. Although they appear simple, non-alcoholic beverages form one of the most complex and influential sectors within the global food and beverage industry, connecting human biology, lifestyle behaviour, cultural traditions, technology, and commercial markets.At their core, non-alcoholic beverages fulfil the most fundamental human requirement hydration. Water-based beverages help maintain body temperature, support metabolic activity, aid digestion, and replenish fluids lost through daily activities. However, in modern consumer markets, the purpose of non-alcoholic beverages extends far beyond basic hydration.

Table 2.1.3 Definitions non-alcoholic beverages

Country	Definition / Coverage
European Union (EU)	Defines non-alcoholic beverages as *"non-carbonated or carbonated beverage made from potable, spring or natural mineral water with or without the addition of various nutritional substances, flavourings and/or food additives, with alcohol content that does not exceed 0.5 per cent by volume"*, as per notification no. 2008/269/LT (2009). Later, categories such as refreshing juice drinks and concentrated juice drinks were added.
USA	Non-alcoholic beverages include: (a) dry goods beverages vegetable juices and drinks, ready-to-drink fruit drinks, isotonic drinks, powdered soft drinks, mineral water; (b) dairy beverages like flavoured milk; (c) frozen beverages such as fruit drinks and fruit juices (US Department of Agriculture).

A) Carbonated beverages

Carbonated beverages are those that contain dissolved carbon dioxide gas under pressure, which gives them their characteristic fizz or effervescence. This category includes soft drinks, sparkling water, soda, and tonic water. The carbonation not only adds a refreshing sensation but also affects the taste and mouthfeel, making these drinks popular among consumers seeking a lively, crisp experience. Global consumption of carbonated soft drinks reached over 300 billion liters in 2024, reflecting their sustained popularity, especially in urban areas.

B) Non-carbonated beverages

Non Carbonated Beverages do not contain added carbon dioxide and have a smooth, flat texture. This category encompasses juices, tea, coffee, milk-based drinks, and functional beverages like energy drinks and fortified waters. Non-carbonated drinks are often perceived as healthier alternatives to sugary carbonated beverages, and the global non-alcoholic beverage market is projected to grow from USD 1,406 billion in 2025 to USD 2,696 billion by 2034 at a CAGR of 7.5%. They cater to a wide range of consumer needs, including hydration, nutrition, and wellness, and are favored for their natural taste and health-oriented formulations

Table 2.2 Sub Categories of Non Alcoholic Beverages

Sub-Category	Definition
Mineral water	Includes packaged water, spring water, still water, flavoured and sparkling water.
CSDs (Carbonated Soft Drinks)	Any flavoured beverage containing dissolved carbon dioxide.
Energy drinks	Drinks that contain stimulants, such as caffeine, which boost energy levels.
Fruit based drink	Drinks that contain up to 20–30 per cent fruit juice with sugar, colour and flavour.
Fruit juices	Contains some percentage of fruit pulp.
Organic/Ayurvedic drinks	Drinks prepared from organic products.
Functional Drinks	A non-alcoholic beverage that provides specific, additional health or performance benefits
Tea/coffee based drinks	Iced tea, lemon tea, iced coffee, etc.
Vegetable juices	Contains some percentage of vegetable pulp.
Vegetable or fruit concentrate/powder/syrup	Liquid and powder concentrate that can be dissolved in other liquids such as water.

Table 2.3 Differentiation of Beverages by Sugar Content

Sugar Content	Beverage Type
Sugar level more than 5.0 – 6.0 g per 100 g	Regular Cola Carbonates
	Lemonade / Lime
	Ginger Ale
	Tonic Water / Other Bitters
	Orange Carbonates
	Other Non-Cola Carbonates
	Energy Drinks
Sugar level between 5.0 – 6.0 g per 100 g	Sports Drinks
Sugar level less than 5.0 – 6.0 g per 100 g	Low Calorie Cola Carbonates

2.4 Segmentation Of Non Alcoholic Market

A) Segmentation by Geography

Table 2.4 Non Alcoholic Beverage Market Segmentation by Region

Region	Key Features & Trends	Growth & Marketing Strategies	Supply Chain / Operations Focus
North America	Sophisticated category management; high private label penetration in water; rapid zero-sugar adoption in soft drinks	Emphasis on multipack value, recyclable packaging, retail media activation to improve conversion	Investments in nearshoring, automation, and cold-fill capacity to stabilize service levels and margins
Europe	Stringent health and environmental regulations; acceleration in reformulation and rPET usage	Functional and organic cues drive shopper behavior; disciplined EDLP and promo architectures	Balancing deposit return schemes, energy costs, and cross-border sourcing to protect profitability
Asia Pacific	Fast-growing urban markets with deep traditional trade	Localized flavors and pack sizes; RTD tea/coffee, functional hydration, e-commerce expansion	Route-to-market innovation, digital distributors, and quick-commerce to lift

Middle East & Africa	On-the-go formats; hot-climate hydration; rising youth demographic	Affordable single-serve, value PET, partnerships extending cooler infrastructure	Localized sourcing, water stewardship, and manufacturing footprints to support resilience and policy alignment
Latin America	Strong brand loyalty; sensitivity to inflation and income volatility	Returnable glass, multi-serve packs, affordability tiers; premium niches growing in urban centers.	Execution excellence in DSD, cooler coverage, and community marketing to underpin share stability

C) Segmented By Distribution Channel

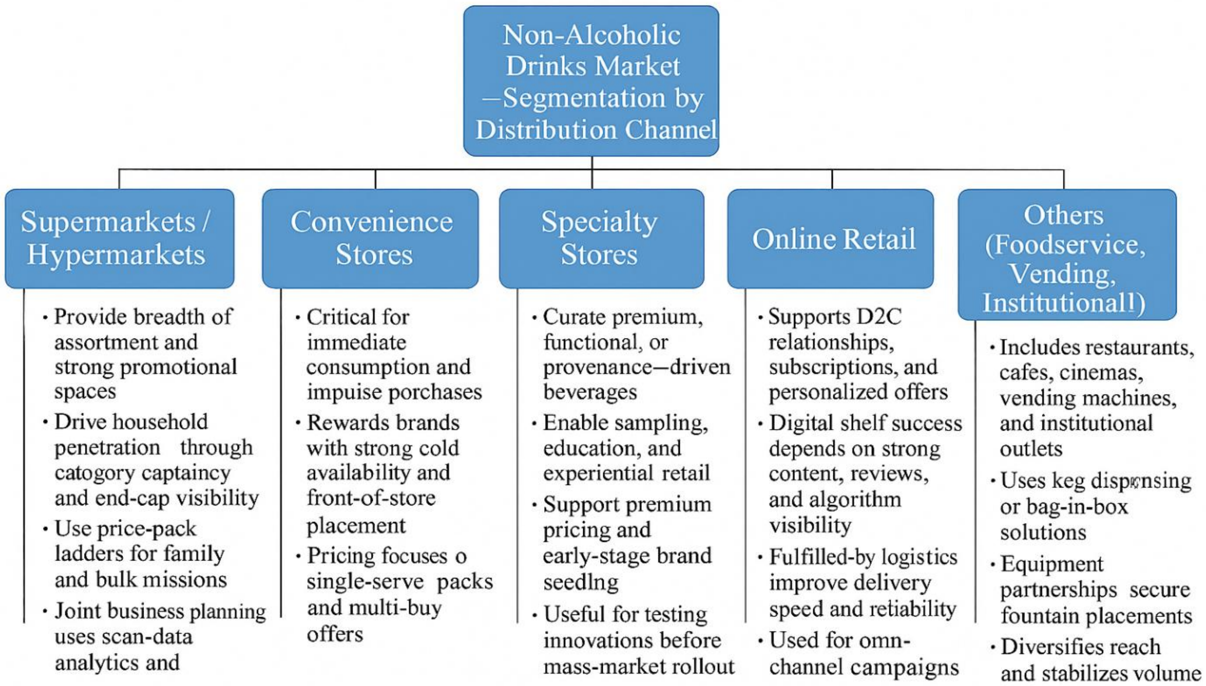

Fig 2.4 Distribution Channels

Non-alcoholic drinks market shows that each channel plays a distinct strategic role in shaping consumer reach and brand performance. Supermarkets and hypermarkets remain the primary volume drivers due to their broad assortment and strong promotional leverage, while convenience stores excel in capturing immediate-consumption and impulse-driven demand. Specialty stores and online retail contribute to premiumization and personalization, offering platforms for innovation testing and data-driven consumer engagement.

D) Segmented By Price

Table 2.5 Non Alcoholic Market Segmented By Price

Price Point	Key Characteristics
Standard	Mainstream flavours, family multipacks, everyday pricing; high-speed production; broad distribution; stable promotions and private-label competition management.
Premium	Clean ingredients, functional add-ins, superior formats (glass/sleek cans); sustainability and origin storytelling; limited editions and curated visibility.
Luxury	Small-batch production, bespoke packaging, exclusivity and gifting appeal; tightly controlled distribution; experiential branding and high-margin positioning.

2.6 Global Trade

Global trade in non-alcoholic beverages is driven by major players such as Coca-Cola, PepsiCo, Nestlé, Danone, Keurig Dr Pepper, and regional exporters of juices, bottled water, and soft drinks. Trade flows operate through exporters, importers, distributors, freight forwarders, customs brokers, and multinational bottling partners who manage logistics and compliance. The process is regulated by global bodies like the WTO (World Trade Organization), Codex Alimentarius, ISO, and national authorities such as FSSAI (India), FDA (USA), EFSA (EU) that set safety, labeling, and quality standards. Customs, port authorities, and food-safety agencies ensure HS classification compliance, tariff application, and documentation verification before goods are cleared for international markets.

Table2.6 : HS Codes for Trade in Non-Alcoholic Beverages

HS Code	Commodity Description
2009	Fruit juices (including grape must) / vegetable juice unfermented and not with added spirit, whether sweetened or unsweetened.
2201	Waters, including natural or artificial mineral waters and aerated waters, not containing added sugar or other sweeteners.
2202	Waters, including mineral waters and aerated waters, containing added sugar or other sweetening matter, or flavoured.

3. COMPANY PROFILE

3.1 Introduction to the Unit (Absolute Reports)

Absolute Reports is a market research and consulting firm that provides industry insights, data-driven analysis, and syndicated research reports across multiple sectors. The organization focuses on delivering reliable market intelligence to support strategic decision-making for global clients. The firm's work emphasizes accuracy, analytical depth, and structured report development, making it an important contributor within the market research ecosystem.

3.2 Name and Address of the Unit

Fig 3.2 Company Logo

Absolute Reports
Office-B, 2nd Floor, Icon Tower,
Baner – Mahalunge Road,
Baner, Pune – 411045
Website: www.absolutereports.com
Email: info@absolutereports.com
Phone: +91 744 740 1243

3.3 Brief History of the Unit and Present Position

Absolute Reports was established as a professional research organization to address the rising global demand for business intelligence. Over time, the company expanded its portfolio of syndicated and customized research services, publishing thousands of market reports across industries such as technology, healthcare, manufacturing, chemicals, and finance.

The company has built a strong reputation for structured content creation, reliable secondary data sourcing, and timely delivery. Today, Absolute Reports is recognized as an emerging and competitive player in the global research and consulting landscape with a diversified client base and presence across multiple sectors.

3.4 Organizational Structure

The organizational structure of Absolute Reports is designed to support efficient research development, editorial review, sales operations, and technical support. A diagrammatic representation is provided below.

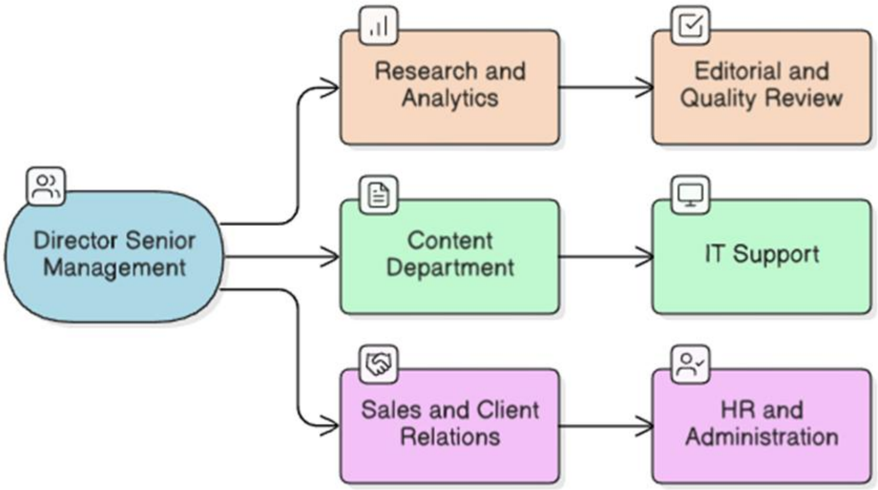

Fig 3.4 Organisation Structure of Absolute Reports

3.5 Functional Departments

Absolute Reports operates through several interconnected departments that support the creation, review, and delivery of market research reports:

- **Research & Analytics** – Responsible for data collection, trend assessment, and forecasting models.
- **Content Department** – Develops structured market research narratives, segmentation, and analytical commentary.
- **Editorial & Quality Review** – Ensures factual accuracy, consistency, and adherence to editorial guidelines.
- **Sales & Client Relations** – Manages communication with clients, handles inquiries, and coordinates custom project requirements.
- **IT Support** – Oversees website operations, internal tools, and technical maintenance.
- **HR & Administration** – Handles recruitment, onboarding, workplace management, and employee support functions.

3.6 Products and Services

Absolute Reports provides a broad portfolio of business intelligence offerings, including:

- Syndicated Market Research Reports
- Customized Research and Consulting
- Industry Trend Analysis
- Market Forecasting Models
- Competitive Intelligence Reports
- Data-driven Insights and Visualization Support

These services help clients understand market dynamics, identify growth opportunities, analyse competition, and make informed decisions.

3.7 Financial Position

Absolute Reports is a privately held organization, and therefore does not publicly disclose detailed financial statements. However, the company continues to grow its client network, expand its research database, and diversify its portfolio across sectors. This sustained expansion reflects a stable operational position and an increasing presence within the market research domain.

3. DATA INTERPRETATION

A) Global Scenario

4.1 Global Nominal GDP and Real GDP Growth (CY2019–CY2029F)

Table 4.1.Global Nominal GDP and Real GDP Growth (CY2019–CY2029F)

Year	Nominal GDP (USD Trillion)	Real GDP Growth (%)
CY2019	88	2.9
CY2020	85.8	-2.7
CY2021	97.8	6.6
CY2022	101.9	3.6
CY2023	106.4	3.5
CY2024	110.5	3.3
CY2025E	113.8	2.8
CY2026F	119.1	3
CY2027F	125	3.2
CY2028F	131.3	3.2
CY2029F	137.8	3.2

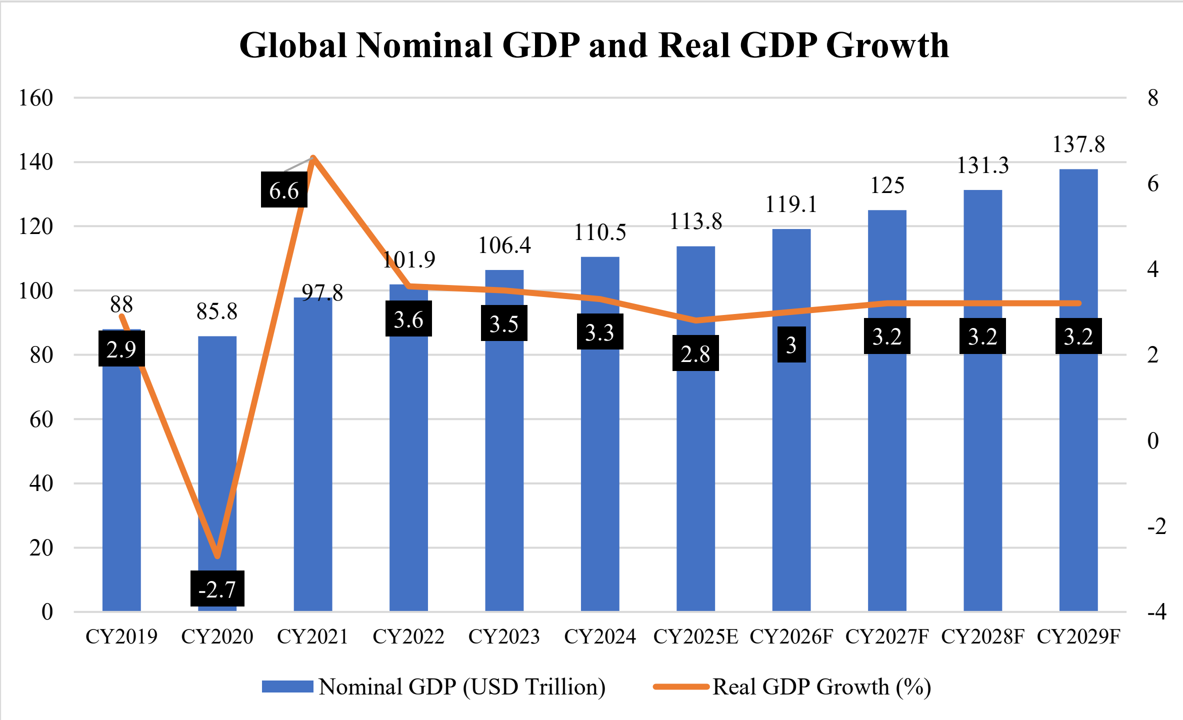

Fig.4.1 Global GDP Growth

Interpretation

- The global economy has shown strong recovery after the major slowdown and is back on a steady growth path.
- The trend shows that the world is now moving into a period of stable and predictable growth, with fewer big ups and downs.
- The improvement reflects better consumer spending, smoother supply chains, and growing investments in many countries.
- Recent years suggest that governments are managing inflation better, helping the economy grow without major disruptions.
- The steady rise in GDP shows that technology, urbanisation, and productivity are helping the world economy grow in the long run.
- Overall, the forecast suggests that the world economy is becoming more stable and healthier, with slow but steady progress ahead.

4.2 Global Non Alcoholic Market Size

Table 4.2 Global Non-Alcoholic Beverage Market.

Year	USD Billion
2019	919.13
2020	994.6
2021	1,076.10
2022	1,165.30
2023	1,262.80
2024	**1,307.30**
2025E	1,407.60
2026F	1486.58
2027F	1567.64
2028F	1648.70

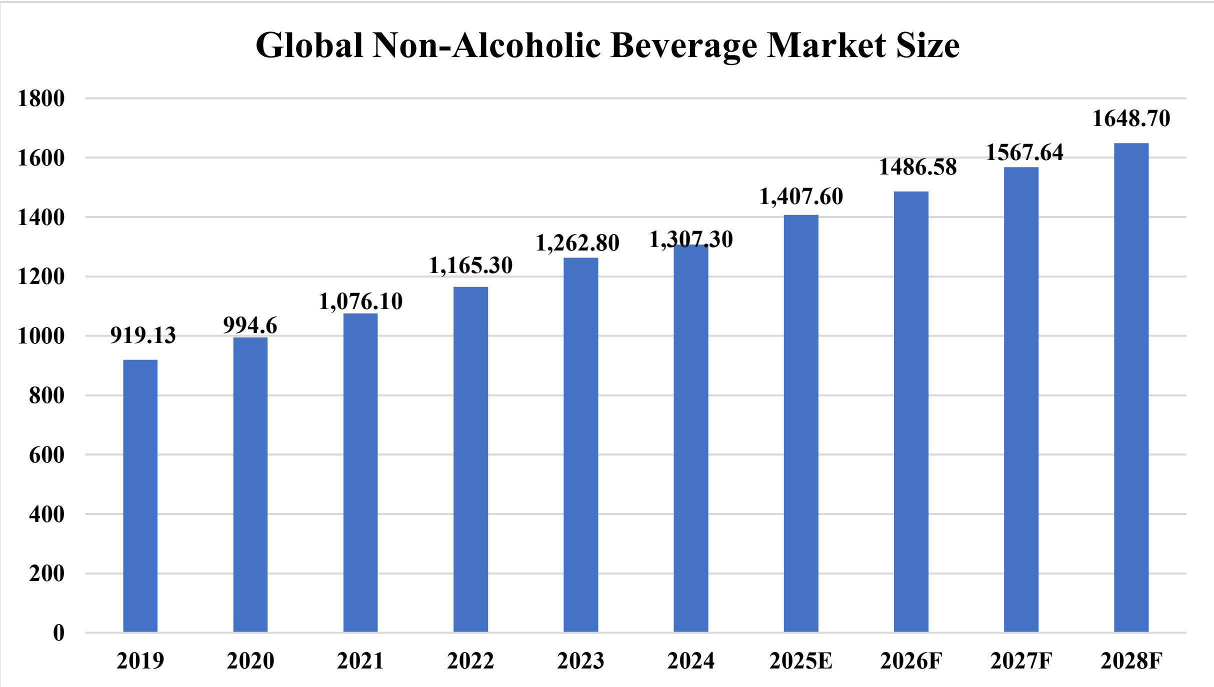

Fig.4.2 Global Non-Alcoholic Beverage Market.

Interpretation

- The global non-alcoholic beverage market is growing every year, showing strong and steady demand across countries.
- The market continues to expand even after the pandemic, proving that beverages are a stable and essential consumption category.
- Growth is supported by rising demand for healthy drinks, convenience beverages, and ready-to-drink options worldwide.
- Companies are benefiting from urban lifestyles, busy schedules, and higher on-the-go consumption, which push more people to buy packaged drinks.
- The steady rise also shows the impact of innovation, including new flavours, low-sugar drinks, functional beverages, and premium options.
- Overall, the forecast indicates a strong, long-term growth opportunity, making beverages one of the most promising global FMCG categories in the next decade.

4.3 Segmented by Product Category

4.3 **Non-Alcoholic Beverages Market Size By Product, 2024 to 2028 (USD Billion)**

Year	Carbonated Soft Drinks	Bottled Water	RTD Tea & Coffee	Functional Beverages	Juices	Energy Drinks
2020	293	224	90.5	106.8	123	82
2021	310.6	239.7	97.5	115.4	129.1	86.1
2022	329.3	256.7	105	124.6	135.6	90.4
2023	349.1	275	113	134.5	142.4	94.9
2024	**392.4**	**313.92**	**130.8**	**156.96**	**156.96**	**104.64**
2025E	409.37	329.43	137.58	165.27	162.86	108.55
2026F	433.64	351.43	147.42	177.50	171.16	114.08
2027F	457.91	373.43	157.26	189.74	179.46	119.60
2028F	482.18	395.43	167.09	201.97	187.76	125.13

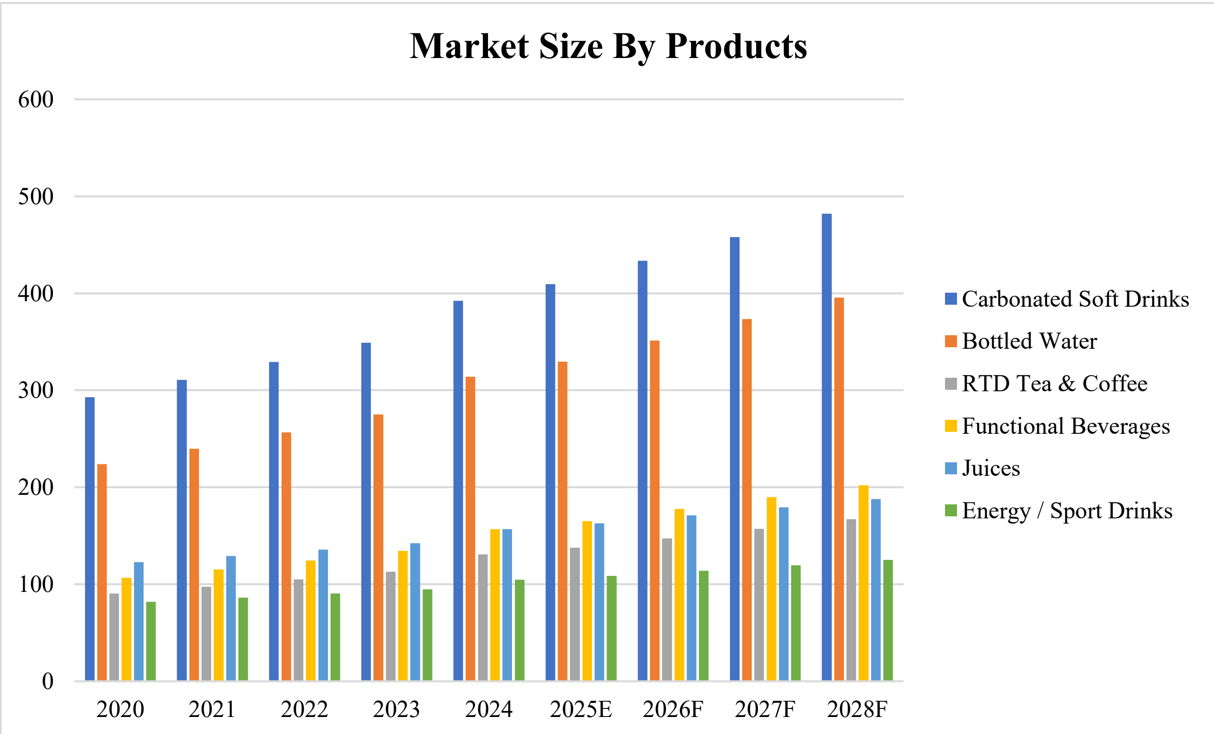

Fig 4.3 Non-Alcoholic Beverages Market Size By Product

Interpretation

- The category pattern shows a clear global movement from taste-based beverages to purpose-driven drinks, with hydration, health, and functionality becoming stronger consumption motives than traditional refreshment.
- Bottled water's rapid rise highlights how clean hydration has become a worldwide priority, reflecting concerns around water quality, increasing mobility, and the shift toward "safe and convenient" drinking options.
- Functional beverages and RTD tea/coffee are expanding fast because consumers now prefer drinks that save time and deliver added benefits, signalling a lifestyle where convenience and wellness outweigh traditional beverage habits.
- Energy drinks continue to build cultural relevance, driven by youth lifestyle shifts, gaming influence, and longer working hours, making them a symbol of performance, identity, and instant stimulation.
- Carbonated soft drinks still dominate in size, but their slower growth shows that global preferences are gradually tilting toward healthier and more meaningful beverage choices, reshaping long-term industry dynamics.

4.4 Per Capita Consumption of Carbonated Soft Drink (CDS)

Table 4.4 Per Capita Consumption

Country	Consumption (L)	Country	Consumption (L)
Mexico	168	South Korea	37
USA	120	Egypt	32
Chile	115	**Global Average**	**31**
Argentina	101	Japan	26
UK	101	Singapore	26
South Africa	84	Nepal	24
Brazil	79	Pakistan	23
Peru	76	Taiwan	15
Colombia	66	Vietnam	14
Qatar	64	Sri lanka	11
UAE	50	Bhutan	8
Philippines	40	**India**	**7**
Russia	38	Bangladesh	7

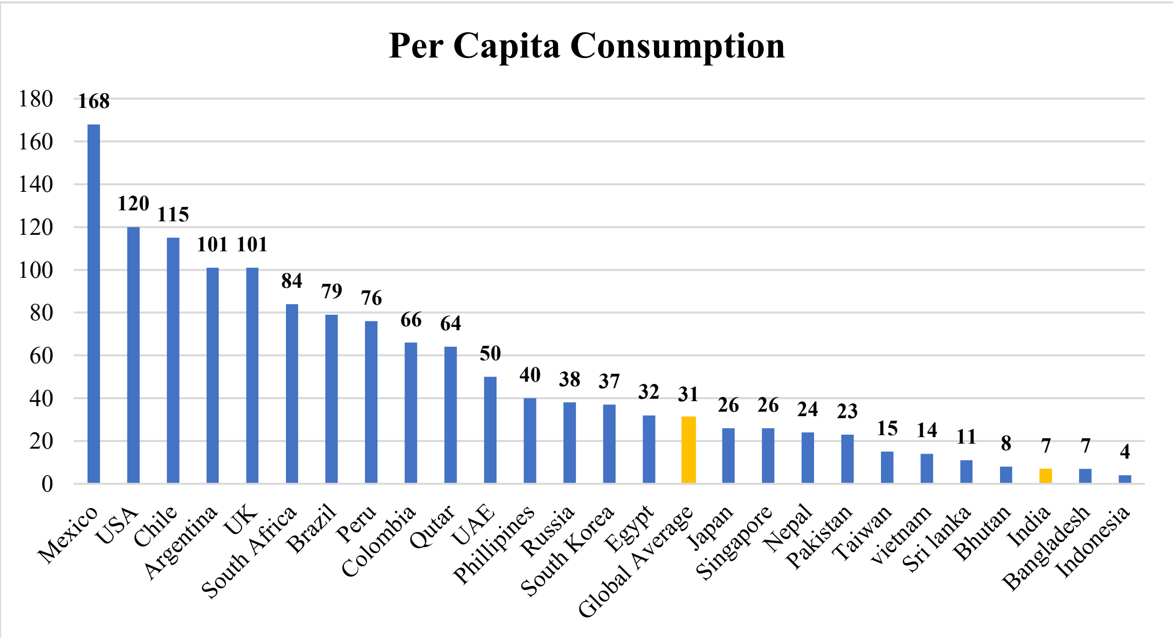

Fig 4.4 Per Capita Consumption

Interpretation

- Countries like Mexico, USA, Chile, and Argentina show extremely high per-capita beverage consumption, reflecting long-standing habits of drinking soft drinks with meals, strong urban lifestyles, and a deeply entrenched beverage culture.
- Middle Eastern nations such as Qatar and UAE also rank high due to hot climates, high disposable incomes, and strong out-of-home beverage culture driven by cafés, restaurants, and expatriate lifestyles.
- Asian countries like Japan, Singapore, South Korea, though moderate in volume compared to the West, still consume far more than India because of higher income levels, convenience-driven lifestyles, and mature RTD (ready-to-drink) tea, coffee, and functional drink markets.
- Pakistan’s beverage intake rises sharply during Ramzan and Eid, where sweet drinks like Rooh Afza, Jam-e-Shirin, sherbets, and sweetened milk drinks are consumed daily for iftar. Nepal also sees heavy beverage use during festivals like Dashain and Tihar, where serving soft drinks and fruit beverages is a cultural norm.
- India, despite its huge population, remains among the lowest per-capita beverage consumers globally, showing high under-penetration and massive future growth potential.

4.5 Market Size By Region

Table 4.5 Non-Alcoholic Beverages Market Size By Region, 2024 to 2028 (USD Billion)

Year	North America	Europe	Asia Pacific	Middle East & Africa	Latin America
2021	303.65	248.45	374.6	79.55	111.9
2022	319.75	260.9	397.05	83.35	117.7
2023	336.75	274	420.9	87.35	124
2024	353.16	287.76	444.72	91.56	130.8
2025E	369.70	307.23	482.29	95.51	136.98
2026F	386.22	319.94	504.72	99.52	143.30
2027F	402.73	334.53	531.33	103.53	149.62
2028F	419.24	349.12	557.94	107.54	155.93

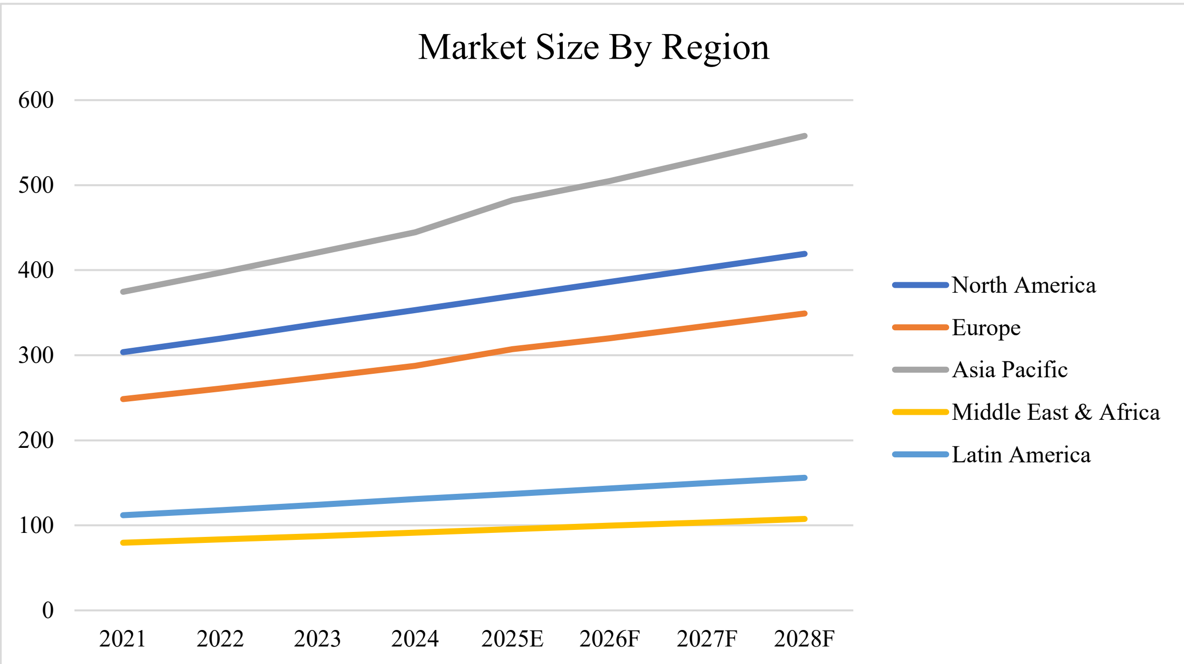

Fig 4.5 A : Non-Alcoholic Beverages Market Size By Region

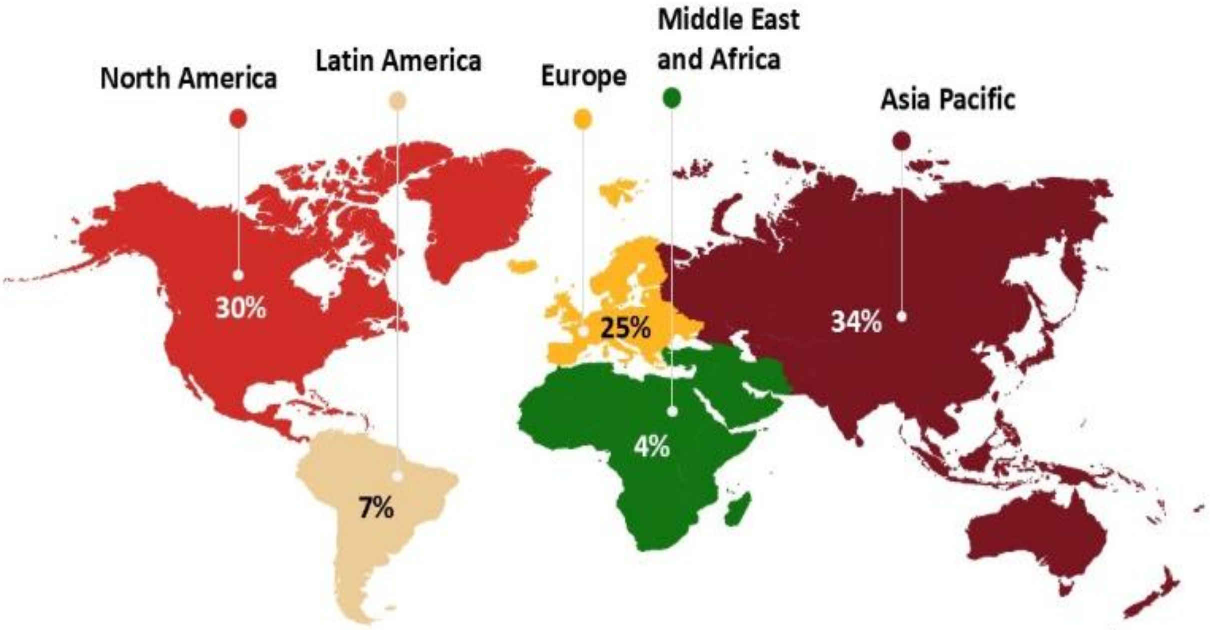

Fig 4.5 B: Percentage Share of Region in NAB Market

Interpretation

- Asia Pacific's rapid rise reflects the region's shift from traditional homemade drinks to packaged beverages, driven by urban migration and the growth of affordable small-pack SKUs that fit lower-income consumer habits.
- North America's expansion is supported by the premiumisation trend, where consumers increasingly pay more for functional ingredients, clean labels, plant-based drinks, and wellness-focused beverages rather than just buying in higher volume.
- Europe's growth is shaped by regulatory pressure that pushes companies to innovate, leading to a surge in low-sugar, organic, and environmentally responsible beverage formats that keep the market active despite saturation.
- The Middle East & Africa market is being lifted by modern retail penetration and international brand entry, as global beverage companies invest in distribution and cold-chain infrastructure to reach previously underserved regions.
- Latin America's rising numbers come from local brands gaining strength, especially in fruit-based and cultural drink categories, showing that homegrown products not just global brands are driving regional expansion.

4.6 Top Non Alcoholic Beverage Markets

Table 4.6 Top Non Alcoholic Beverage Markets

Rank	Country	Estimated Revenue
1	**United States**	**392.5**
2	China	112.3
3	Japan	71.6
4	Germany	60.8
5	United Kingdom	42.9
6	Mexico	39.2
7	Brazil	36.4
8	Indonesia	33.7
9	France	31.1
10	**India**	**29.37**

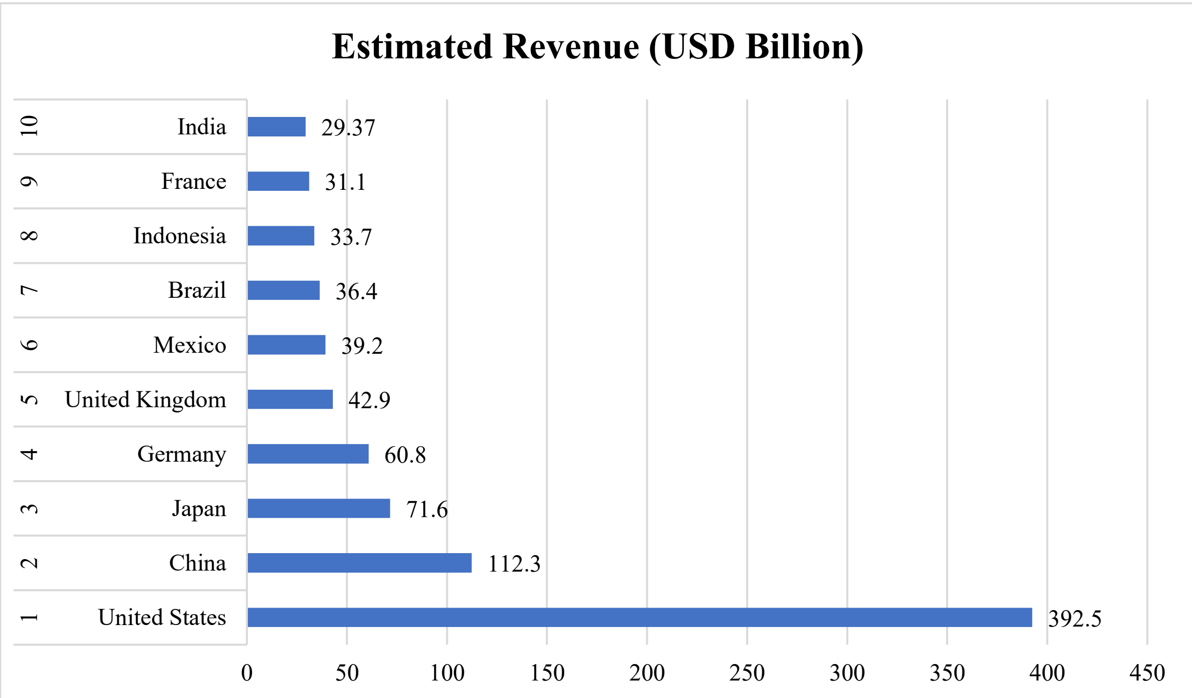

Fig 4.6 Top Countries by Non-Alcoholic Beverage Revenue , 2024.

Interpretation

- ❖ The United States leads the beverage market because it has a long-established culture of premium drinks, high purchasing power, and a very strong on-the-go consumption lifestyle supported by cafés, restaurants, and convenience stores.
- ❖ China follows next due to its huge urban population, rapid shift toward packaged beverages, and massive demand for bottled water, RTD tea, and functional drinks that have become part of daily routines.
- ❖ Japan ranks high because of its unique convenience-store ecosystem and widespread habit of consuming ready-to-drink teas and coffees throughout the day.
- ❖ Germany and the United Kingdom perform strongly as mature markets where consumers prefer high-quality, health-oriented, and well-branded beverages, driving higher revenue even with moderate consumption.
- ❖ Mexico and Brazil appear in the upper tier because beverages are deeply tied to food culture, climate, and social habits, leading to frequent purchases across both modern and traditional retail.
- ❖ Indonesia's position is lifted by its warm climate, rising café culture, and strong tourism activity, especially in popular destinations where bottled water and cold beverages are sold continuously.
- ❖ France shows strong performance thanks to premium beverage preferences, established café traditions, and a consumer base that values higher-quality drinks.
- ❖ India ranks lower not due to lack of demand, but because many households still rely on homemade drinks, local alternatives, and low-cost refreshments, which limits packaged beverage revenue despite a very large population.

4.7 Segmented By Packaging Material

Table 4.7 Percentage Share of Non Alcoholic Beverage Packaging Material

Packaging Material	Share (%)	USD Billion
Plastic (PET + HDPE)	67%	135.68
Glass	14%	28.35
Metal (Aluminium cans)	10%	20.25
Paperboard / Cartons (Tetra Pak etc.)	7%	14.17
Pouches / Others	2%	4.05

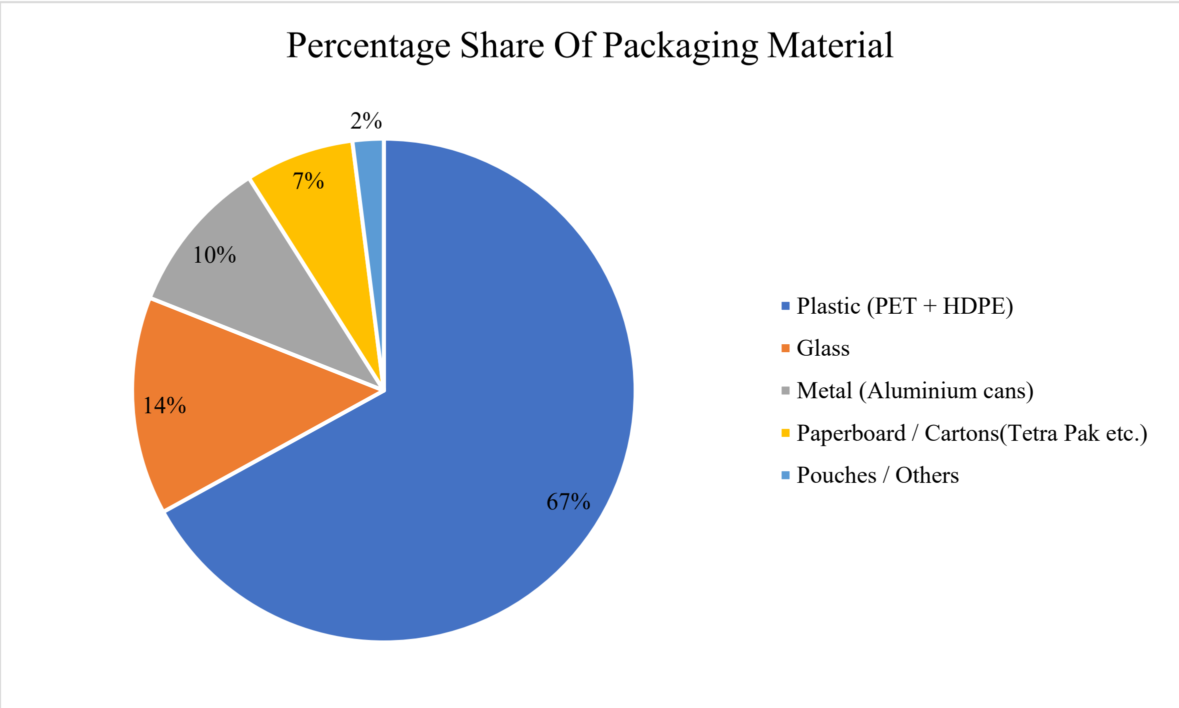

Fig 4.7 Percentage Share of Non Alcoholic Beverages Packaging Material

Interpretation

- PET is used the most because it is cheap, lightweight, unbreakable, and perfect for mass-market drinks. It is mainly preferred in Asia-Pacific, Africa, and South Asia, where affordability and large population demand make PET the most practical choice.

- Glass is chosen for premium beverages because it protects taste, looks high-quality, and is fully recyclable. It is more common in Europe and wealthy Middle Eastern markets, where sustainability and premium positioning matter more.

- Cans are popular for carbonated drinks and energy drinks since they chill quickly and keep fizz strong. They are heavily used in North America, Japan, and South Korea, where energy drinks, sodas, and vending machines are widely consumed.

- Cartons are preferred for juices and long-shelf-life drinks because they protect the product from light and air and have an eco-friendly image. They are most common in Europe and Latin America, where juice consumption and sustainability awareness are higher.

- Pouches are used for low-cost and single-serve beverages, offering affordability and portability but lacking premium appeal. They are mainly used in South Asia and Africa, where price sensitivity is high and small packs sell more.

4.8 Segmented By Distribution Channel

Table 4.8 Non Alcoholic Beverage Market Segmented by Distribution Channel

Year	Food Service	Retail
2024	457.8	850.2
2025 (Est)	494.95	911.15
2026 F	535.09	976.47
2027 F	578.47	1046.45
2028 F	625.35	1121.44
2029 F	676.01	1201.79
2030 F	730.75	1287.89
2031 F	789.89	1380.14

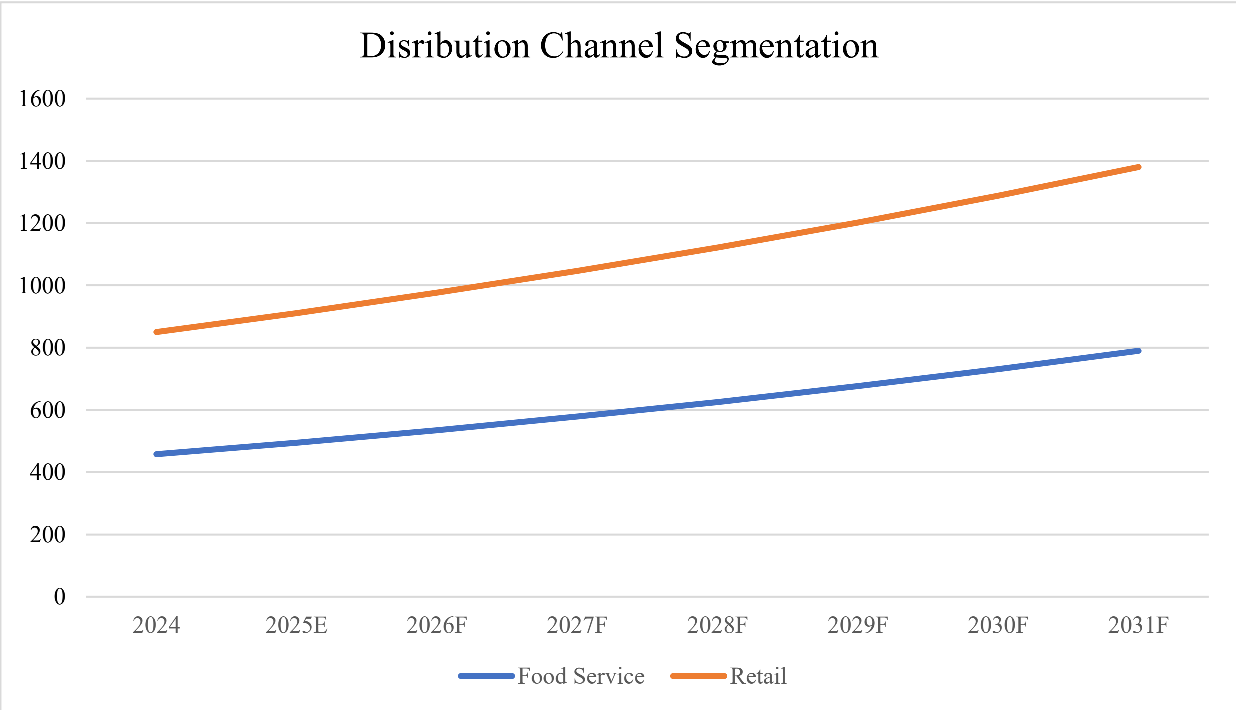

Fig 4.10 Non Alcoholic Beverage Distribution Channel

Interpretation

- Retail (supermarkets / hypermarkets) is the largest channel globally for non-alcoholic beverages holding about 44.2% share of sales in 2024.
- The remaining 55.8% of sales is distributed across other channels: convenience stores, online retail, specialty stores, and "others" (food-service, vending, institutional) showing that more than half of the market lies outside traditional retail.
- Non-retail channels such as food-service, convenience, online, specialty and vending together represent a substantial portion of demand. This suggests that producers benefit from a multi-channel distribution strategy rather than relying solely on supermarkets.
- Channels like convenience stores and online retail excel at capturing on-the-go, impulse or convenience-buyers meaning they serve consumers looking for quick purchase, immediate consumption, or home-delivery convenience.
- Specialty stores and "others" (food-service, vending, institutional) help reach niche or premium-segment buyers and out-of-home consumption occasions (like cafés, offices, travel points), broadening overall market reach beyond household consumption.

4.9 Global Trade of Non Alcoholic Beverages

Table 4.9 Top countries with Exports & Imports

Juice – HS 2009					
Top Exporters (2024)			**Top Importers (2024**		
Rank	**Country**	**Share (%)**	**Rank**	**Country**	**Share (%)**
1	Brazil	14.8	1	United States	16.4
2	Netherlands	13.9	2	Germany	11.6
3	Germany	8.7	3	Netherlands	10.8
4	Spain	8.3	4	France	10.2
5	United States	7.2	5	United Kingdom	9.2
56	**India**	**0.09**	**47**	**India**	**0.26**
Mineral / Aerated Water (No Added Sugar) – HS 2201					
Top Exporters (2024			**Top Importers (2024**		
Rank	**Country**	**Share (%)**	**Rank**	**Country**	**Share (%)**
1	France	26	1	United States	24.8
2	China	20.9	2	Hong Kong (China)	19.1
3	Italy	19.7	3	Belgium	7.6
4	United States	5.6	4	Germany	6.8
5	Belgium	4	5	Japan	5.5
59	**India**	**0.012**	**63**	**India**	**0.05**
Sweetened / Aerated Drinks (HS 2202)					
Top Exporters (2024			**Top Importers (2024**		
Rank	**Country**	**Share (%)**	**Rank**	**Country**	**Share (%)**
1	Austria	15.2	1	United States	23.9
2	Netherlands	10.6	2	Germany	8.9
3	Germany	10.4	3	United Kingdom	7.9
4	Switzerland	9.9	4	Canada	5.7
5	Thailand	8.8	5	Netherlands	5.3
53	**India**	**0.13**	**36**	**India**	**0.61**

Interpretation

Juice (HS 2009)

- Countries that dominate juice exports do so because they combine large fruit production with advanced processing, concentrate/packaging capabilities, and strong global distributor networks they turn raw fruit into stable, transportable juice at scale.
- Major European exporters act as re-export hubs (processing, blending, private-label packs) serving global retail supply chains, not just domestic demand.
- India's tiny export share reflects high domestic absorption of fruit output, weak concentrated-pulp processing capacity for exports, and limited cold-chain/quality-certification at exporter scale.

Mineral / Aerated Water (No Added Sugar)

- Top exporters are often packaging/brand hubs or countries with advanced bottling + logistics that can serve premium, tourist, and duty-free channels; they also benefit from strong food-safety compliance and low export friction.
- High import shares in a few markets reflect re-export/transshipment and demand in travel/tourism-heavy ports.
- India's minimal share shows that while water demand is huge domestically, exporting bottled water requires different economics (brand, purity claims, labeling, transport) that India has not prioritised.

Sweetened / Aerated Drinks (HS 2202)

- Leading exporters often combine packaging expertise, established beverage brands, and trade-friendly logistics; some countries supply syrups/concentrates or canned/bottled goods to neighbouring markets.
- Big importers reflect strong retail demand and the presence of multinational bottlers who import concentrates or seasonal SKUs.
- India's low export footprint here is because its producers focus on local bottling and domestic bottler networks; plus multinational companies often export finished SKUs from their global hubs rather than from India.

4.10 Top Key Player In Non Alcoholic Beverages

Table 4.10 Multinational Beverage Companies

Company	Total Revenue (2024)	Revenue from Beverages	% Revenue	Origin	No. of Countries Where Products Sold	No. of Employees (2024)	Popular Non-Alcoholic Beverage Brands
Nestlé	1,08,000	25,600	24%	Switzerland	190+	270,000+	Nescafé, Nespresso, Nestea, Perrier, S.Pellegrino
PepsiCo	91,500	39,300	43%	US	200+	3,18,000	Pepsi, Mirinda, Mountain Dew, 7UP, Aquafina, Lipton*
The Coca-Cola Company	45,800	45,800	100%	US	>200	82,500	Coca-Cola, Fanta, Sprite, Thums Up, Minute Maid, Maaza
Mondelez International	36,000	2,200	6%	US	150+	91,000	Tang, Bournvita
Keurig Dr Pepper (KDP)	14,800	14,800	100%	US	80+	28,000	Dr Pepper, 7UP (US), Snapple, Bai, RC Cola
FEMSA Coca-Cola (C oca-Cola FEMSA)	13,300	13,300	100%	Mexico	10+	3,60,000+	Coca-Cola, Fuze Tea, Valle, Powerade
Unilever	59,600	3,100	5%	UK/ Netherlands	190+	1,48,000+	Lipton Ice Tea, Pure Leaf, Bru instant beverages

Interpretation

1. Companies like Coca-Cola, KDP, and Coca-Cola FEMSA show 100% beverage revenue because their entire business model is built around beverages, giving them a highly focused portfolio, stronger brand recall, and deep distribution control in every country they operate in.

2. PepsiCo stands out because beverages contribute a large but not exclusive share, showing its strength in balancing two giants Nestlé has a huge global footprint, but beverages form a smaller portion of its revenue because it operates in multiple high-value food categories.

4. Mondelez shows low beverage share because drinks are not its core business, and its beverage presence (like Tang) mainly supports its packaged foods portfolio rather than acting as a standalone growth engine.

5. Unilever's small beverage contribution reflects a strategy focused more on personal care, home care, and food staples, with beverages playing a supporting role mostly through tea-based brands rather than large-scale drink portfolios.

6. Coca-Cola FEMSA's strong revenue reflects its dominance in Latin America, where beverage consumption is culturally high and the company controls bottling, distribution, and retail partnerships across multiple countries.

7. The global reach of these companies shows that beverage success depends heavily on distribution networks, bottling partnerships, and localised brand portfolios, not just product innovation which is why most top players operate in 150–200+ countries.

4.11 Top Leading Brands In Asia-Pacific

Table 4.11 Top Leading Brands In Asia-Pacific

Australia & Oceania		South Asia		Southeast Asia		East Asia	
Brand	**Share**	**Brand**	**Share**	**Brand**	**Share**	**Brand**	**Share**
Shine+	11%	Bisleri	21%	Pocari Sweat	6%	Master Kong	8%
Coca-Cola	10%	Sting	8%	Coca-Cola	5%	Private Label	7%
Bundaberg	8%	Coca-Cola	6%	Glico	3%	Nongfu Spring	3%
Private Label	5%	Cloud 9	5%	Evian	3%	Lipton	2%
Mildura	4%	Frooti	5%	Zing	2%	Cool	2%
Fanta	3%	Red Bull	3%	Fanta	2%	Teas' Tea	2%
Evian	3%	Rani	3%	Laska	2%	Fanta	2%
Sprite	3%	Dabur	3%	Private Label	2%	Wahaha	2%
Just Juice	3%	Fanta	2%	Sprite	2%	Powerade	2%
Berri	3%	Sprite	2%	A de Coco	2%	U-Yo	1%
Other	47%	Other	42%	Other	71%	Other	69%

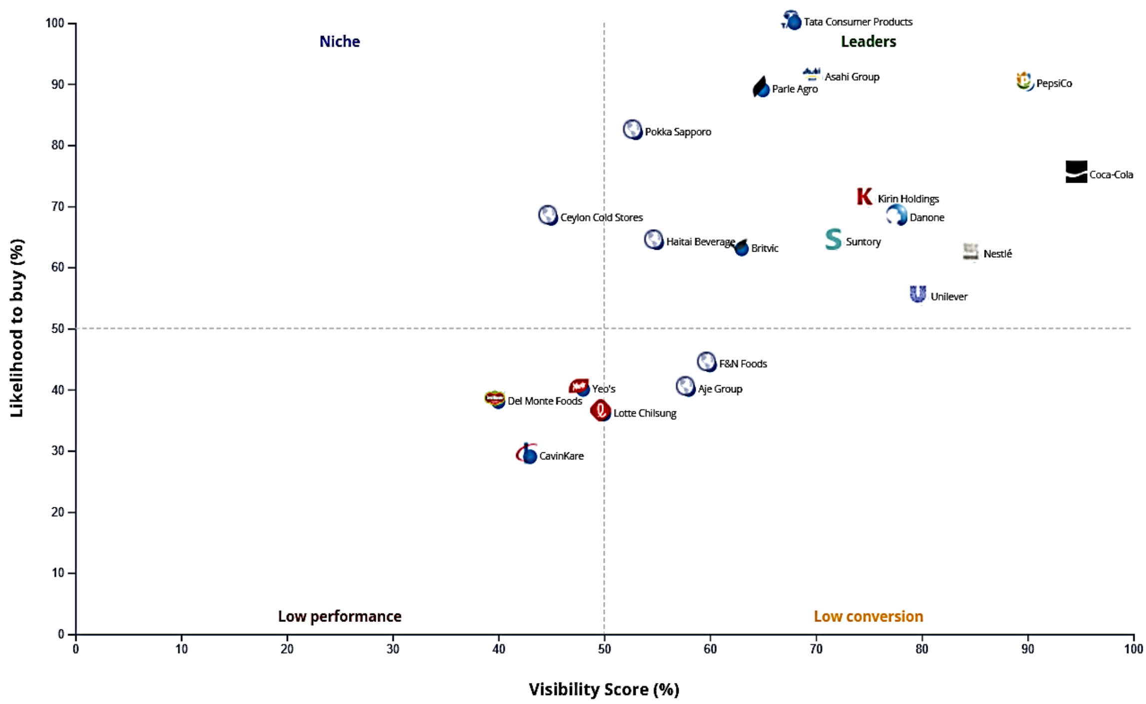

Fig 4.11 Visibility Score of NAB Companies in Asia Pacific

Interpretation

- Coca-Cola is the only global brand present in all four regions it's the clear pan-regional player, but its average share (~6.5% where present) shows it's important but not dominant region-wide (local champions matter).

- "Other" is huge in SE Asia and East Asia (71% and 69% respectively) these markets are highly fragmented with many local brands and niche players driving volume/growth. That makes SE & E Asia hard to capture with a single global product.

- Private label is meaningful (5% in Aus, 2% in SE Asia, 7% in E Asia) retail-driven value plays are present and growing; retailers are capturing share with lower-price offers.

- Carbonated sub-brands (Fanta, Sprite) appear across multiple regions but at modest shares Coca-Cola's brand family gives breadth, but these sub-brands are supplementary rather than dominant.

- Category differences matter: Regions show local leaders (e.g., Bisleri in South Asia, Master Kong in East Asia, Pocari Sweat in SE Asia) local taste, distribution and product format (RTD tea, bottled water, sports drinks) strongly influence share.

B) Indian Scenario

4.12 Total Revenue

Table 4.12 Total Revenue Generated By Non Alcoholic Beverages

Revenue (at Home)				Total
Year	Bottled Water	Juices	Soft Drinks	
2021	5.12	1.71	6.92	13.75
2022	5.29	1.75	7.01	14.05
2023	5.79	1.88	7.54	15.21
2024	6.27	2	8.05	16.32
2025 (Est)	6.65	2.10	8.42	17.16
2026F	7.05	2.20	8.82	18.06
2027F	7.45	2.30	9.21	18.96
2028F	7.85	2.40	9.61	19.86

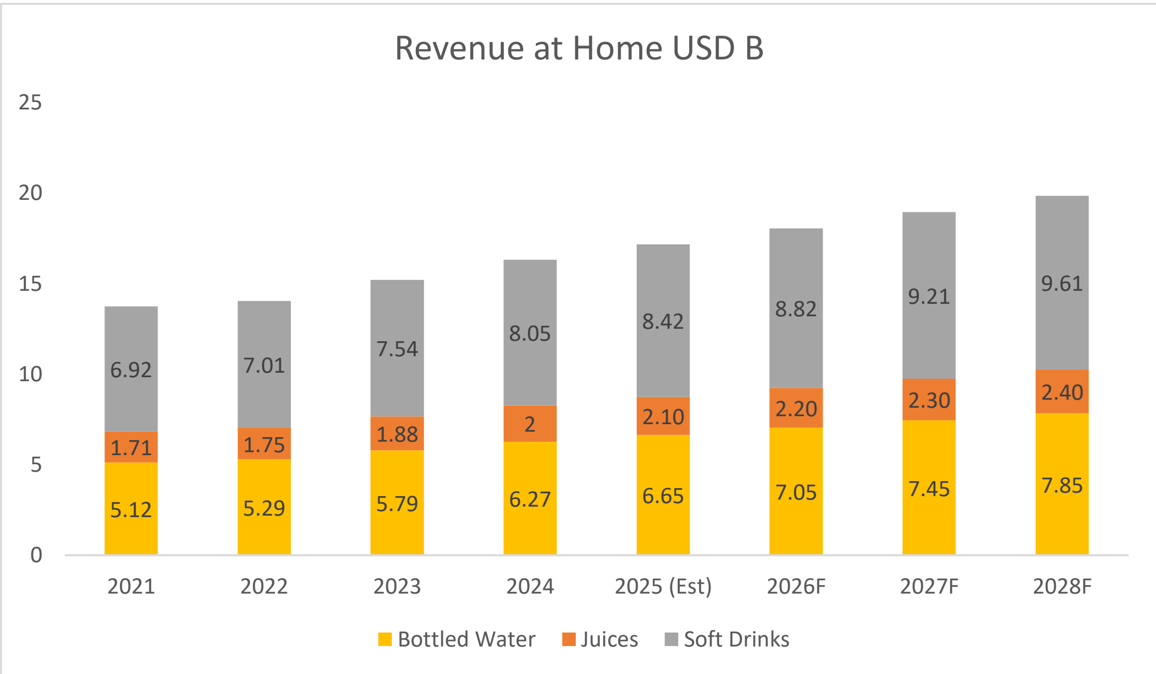

Fig 4.12Total Revenue of Non Alcoholic Beverages

Interpretation

1. Bottled water shows the strongest and most consistent growth because Indian households increasingly prioritise safe drinking water, shifting from home purification or tap reliance to packaged trust and convenience.

2. Soft drinks remain a major contributor to home revenue since they are still treated as quick refreshment options for guests, celebrations, and regular meals, making them a stable part of at-home consumption patterns.

3. Juices grow steadily each year as families slowly adopt fruit-based drinks for morning routines, children's tiffins, and healthier alternatives to carbonated drinks, reflecting a gradual premiumisation trend in Indian homes.

4. The combined at-home revenue rise indicates that packaged beverages are becoming a normal household staple rather than an occasional purchase, driven by lifestyle changes, better availability, and rising convenience preferences.

5. Overall, the pattern suggests that India's at-home beverage consumption is expanding because more households are shifting from homemade drinks to packaged options, supported by improved distribution, small-pack affordability, and evolving consumer habits.

Market Segmented By the Distribution

Table 4.13 Market Segmented By Distribution

Channel	% Share (by Volume)
Convenience Stores	53.20%
On Trade (restaurants, cafes, etc.)	41.30%
Hypermarkets & Supermarkets	3.60%
Vending Machines	1.50%
Other	0.01%

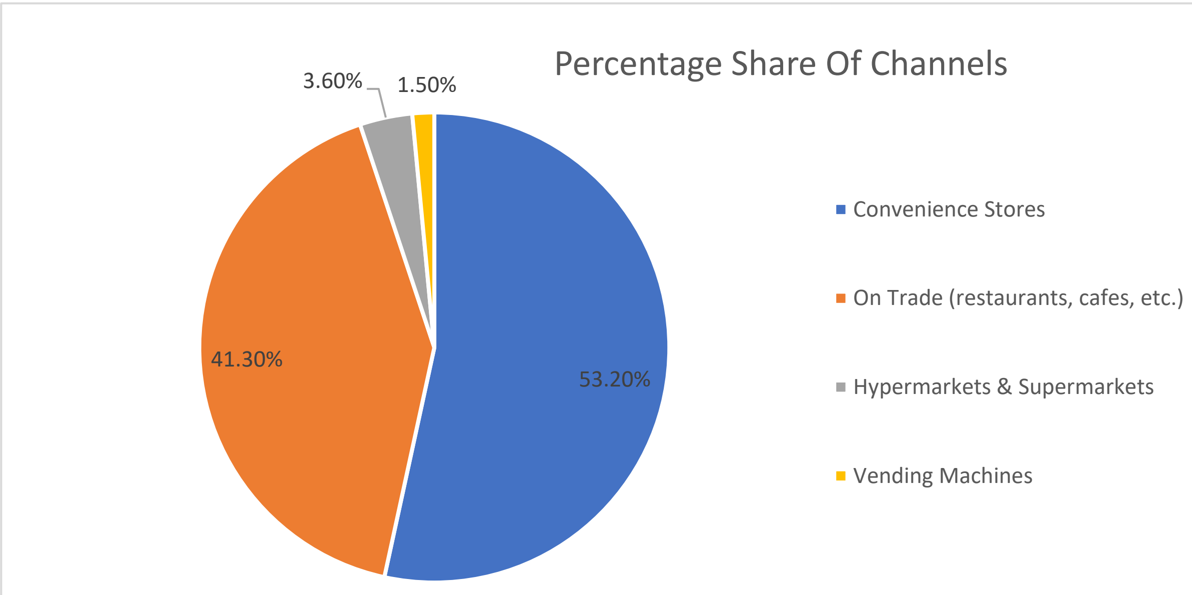

Fig 4.13 Percentage Share of Channels

Interpretation

- The distribution data with 53.2% of beverage volume coming from convenience stores and 41.3% from on-trade channels highlights India's strongly impulse-driven, out-of-home consumption pattern, shaped by small neighbourhood kirana dominance, high footfall, and the country's hot climate that drives frequent quick, single-serve beverage purchases.

- The unusually high on-trade share reflects the growing role of cafés, QSRs, small restaurants and roadside outlets where chilled, ready-to-drink items are consumed immediately, especially in urban markets; this aligns with sector findings that India's RTD and hydration beverages are heavily "occasion-based" and consumed during meals, travel, and social outings.

- The low contribution of hypermarkets/supermarkets (3.6%) reinforces that organised retail remains a small portion of India's beverage volume due to limited physical reach, while vending (1.5%) and other channels (0.01%) remain niche because of infrastructure constraints.

- Overall, this distribution pattern shows that India's beverage supply chain must prioritise dense kirana coverage, cold-chain availability for on-trade, rapid replenishment cycles, and small-pack formats, since the market is built on high-frequency, low-ticket, convenience-led purchasing rather than planned modern-retail or at-home stock-up behaviour.

4.14 Indian Urbanisation Trend

Table 4.14 Indian Urban Percentage

Year	Total Urban Population (Million)	Total Percentage(%)	YoY
2024	534.88	36.85%	2.37%
2023	522.94	36.36%	2.25%
2022	511.33	35.87%	2.13%
2021	500.53	35.39%	2.15%
2020	489.88	34.93%	2.28%
2019	478.83	34.47%	2.33%

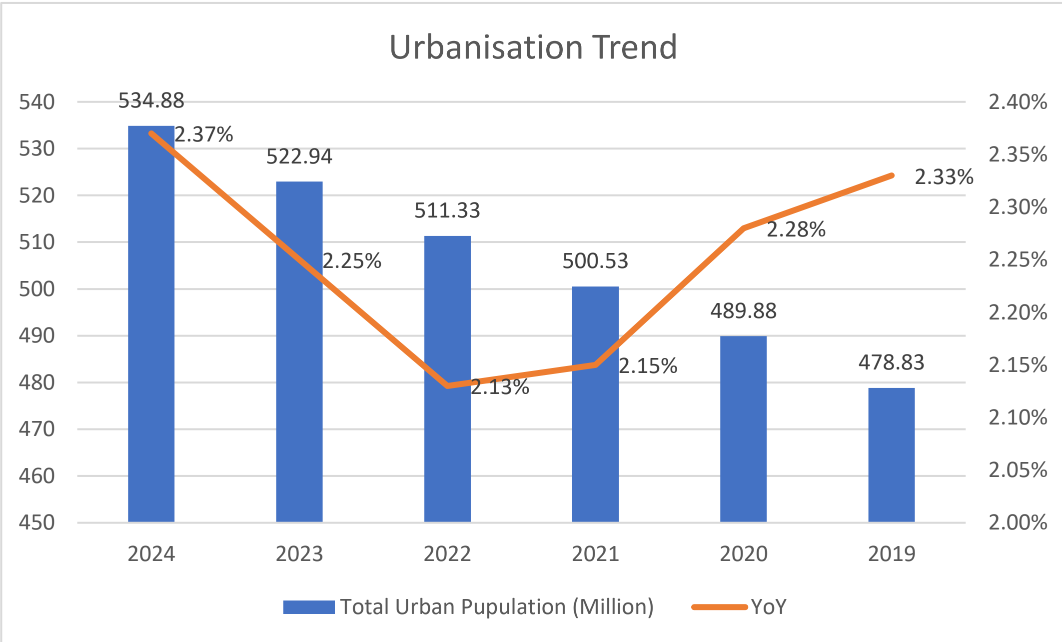

Fig 4.14 Indian Urban Percentage

Interpretation

- India’s urban population is rising steadily each year, showing continuous migration from rural to urban areas for jobs, education, and better lifestyle opportunities.
- The share of urban residents in the total population is gradually increasing, which reflects ongoing urbanisation and expansion of cities into surrounding towns.
- YoY growth remains stable around 2–2.3%, indicating consistent but manageable urban expansion rather than sudden demographic shifts.
- Post-2021 recovery growth suggests that economic activity resumed after COVID disruptions, bringing people back into cities for employment and services.
- The overall trend shows a long-term structural shift toward urban living, which will increase demand for packaged beverages, convenience foods, and on-the-go consumption patterns.

4.15 Top State Revenue

Table 4.15 Top Markets of Non Alcoholic Beverages

Rank	State	Consumption Share	Revenue (USD Bn)
1	Maharashtra	14.50%	4.65 B
2	Uttar Pradesh	12.50%	4.01 B
3	Karnataka	8.50%	2.73 B
4	Tamil Nadu	8.00%	2.56 B
5	Delhi NCR (Delhi + Noida + Gurugram)	6.80%	2.18 B
6	Gujarat	6.50%	2.08 B
7	West Bengal	5.80%	1.86 B
8	Telangana	4.50%	1.44 B
9	Rajasthan	4.00%	1.28 B
10	Kerala	3.90%	1.25 B
11	Punjab	3.50%	1.12 B

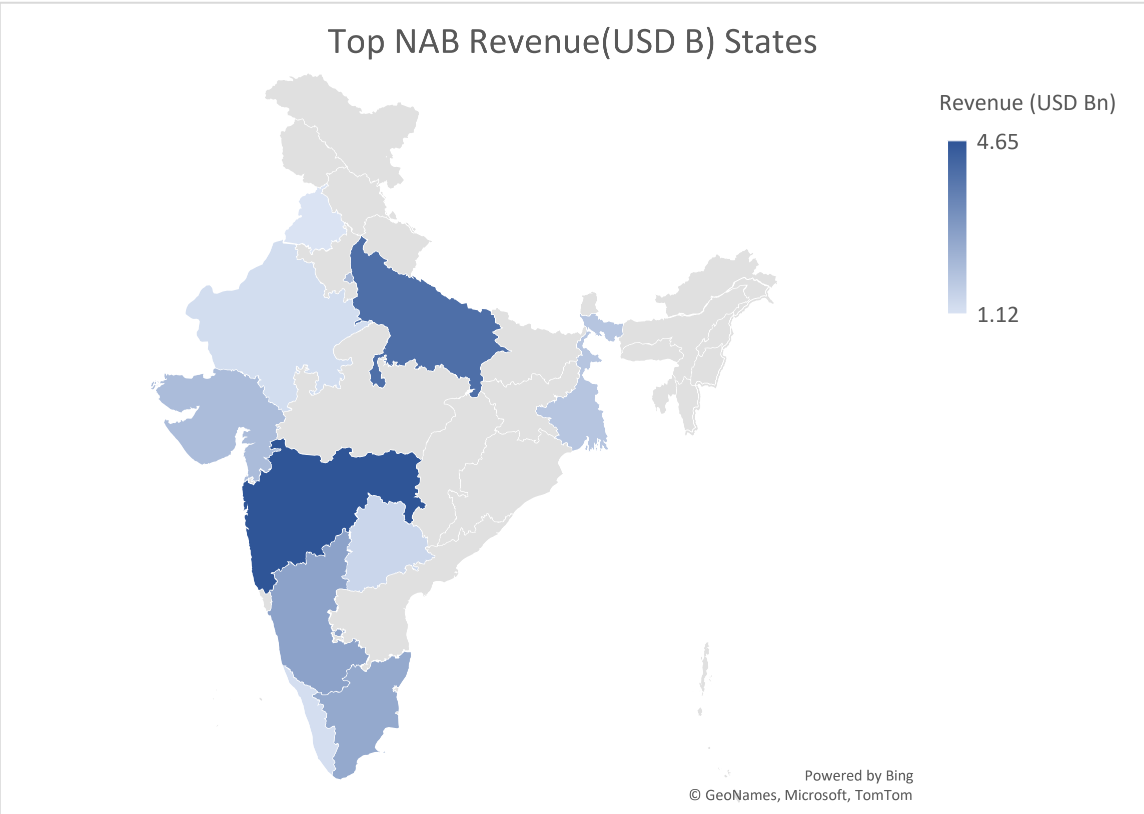

Fig 4.15 Top Markets of Non Alcoholic Beverages

Interpretation

- Maharashtra, Karnataka, and Delhi NCR are ideal markets because their high incomes and strong café culture make consumers more willing to try new beverages.

- Uttar Pradesh and West Bengal offer large-scale potential since their big populations and kirana-driven buying behaviour favour affordable small-pack beverages.

- Hot-climate states such as Tamil Nadu, Rajasthan, Gujarat, and Telangana naturally support hydration-based drinks like lemon, lime, and water due to strong temperature-driven demand.

- Kerala and Punjab are suitable for premium and juice-based beverages because of higher spending power, tourism influence, and strong packaged drink adoption.

- In states like UP, Rajasthan, Punjab, and West Bengal, distribution reach and kirana availability matter more than heavy marketing for brand success.

- Flavour choices must match regional preferences, with citrus preferred in the South, strong cola flavours in the North, and fruit-based drinks in Eastern markets.

4.16 Top Key Players In Indian Non Alcoholic Beverages

Table 4.16 Percentage Share of Top Companies inI ndia

Brand	**Market Share (%)**
Sprite	20%
Thumbs Up	16%
Mountain Dew	13%
Limca	9%
Coca Cola	9%
Pepsi	8%
7 Up	6%
Mirinda	5%
Fanta	5%
Others	9%

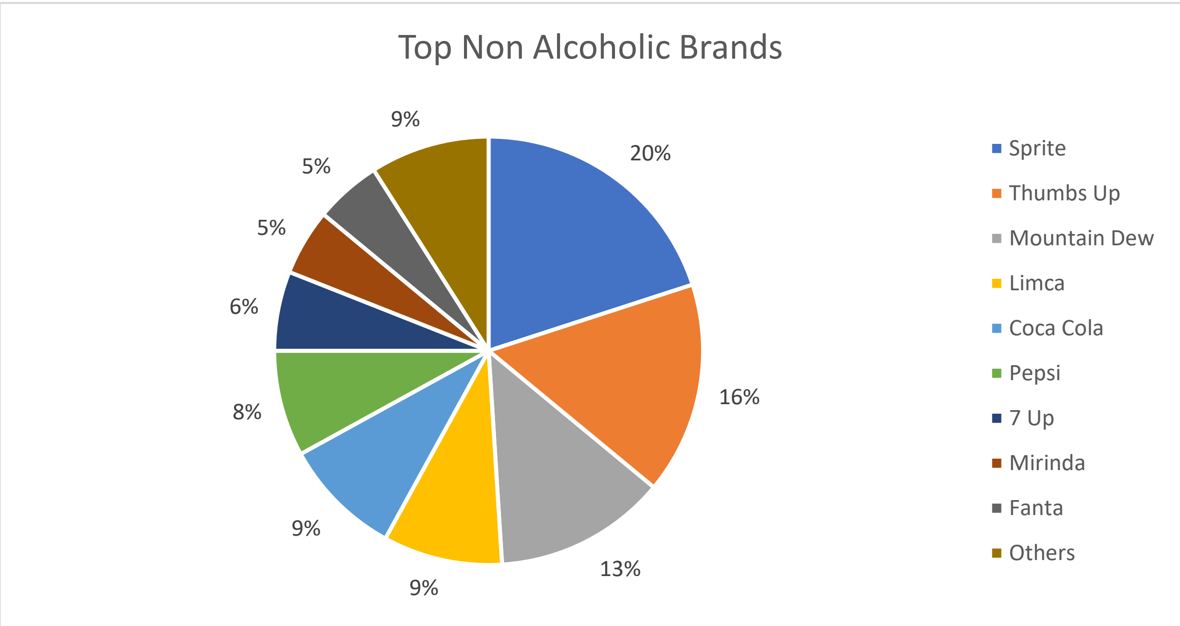

Fig 4.16 Percentage Share of Top Companies in India

Interpretation

- Sprite leads the market because Indian consumers prefer light, lemon-based drinks that give quick refreshment in hot weather.
- Thums Up and Mountain Dew rank high as India strongly favors bold, fizzy, strong-tasting cola-style drinks with a youth appeal.
- Limca and Fanta maintain steady demand because familiar citrus and orange flavours match traditional Indian taste preferences.
- Pepsi, 7UP, and Mirinda remain mid-level players since competition is tough and emotional brand loyalty is stronger for rival brands.
- A notable “Others” share shows that local and regional soft drink brands thrive in rural and small towns due to low price and easy availability.

4.2 CAVINKARE

A) Introduction

CavinKare is one of India's most dynamic and homegrown FMCG companies, known for transforming the country's consumer goods landscape through innovation, accessibility, and deep cultural understanding. Founded in 1983 in Chennai by C.K. Ranganathan, the company began as a small personal-care brand and expanded into a multi-division FMCG powerhouse that today operates across personal care, dairy & beverages, home care, foods, and professional salon products. Its unique identity lies in its ability to blend affordability with quality, a philosophy rooted in India's evolving consumption behaviour.

The company first gained national attention through the sachet revolution, where it popularised the concept of ₹1 shampoo sachets, making branded personal care accessible to low-income households. This breakthrough not only democratized FMCG consumption but also shaped the company's long-term business model small packs, mass affordability, and deep rural outreach. Over the decades, CavinKare diversified into beverages, dairy products, foods, and salon services, while maintaining its core consumer-first philosophy.

In the beverage segment, CavinKare has built a distinct identity with brands like **Maa**, one of South India's most recognised mango drinks, and **Cavin's**, which offers shakes, lassi, buttermilk, and flavoured milk. These beverages cater to the immense demand for flavour-driven, value-priced drinks across urban and rural markets. The company focuses on **Indian taste profiles**, relying heavily on flavours such as mango, buttermilk, dairy-based drinks, and regionally familiar taste formats setting it apart from multinational competitors that rely on largely globalised flavours

1. Company Scale & Presence

- CavinKare operates across **20+ countries**, with strong presence in **India, Middle East, Africa, and parts of Southeast Asia**.
- The company manages **12+ manufacturing plants** (own + co-packing) across India, with clusters in Tamil Nadu, Andhra Pradesh, Karnataka, and Maharashtra.
- Its products reach **3.5–4 million retail outlets**, supported by **thousands of distributors and van-sales routes**, making it one of India's strongest regional FMCG networks.
- Operates through **General Trade (70%+)**, **Modern Trade (15–20%)**, and **E-commerce/HoReCa (growing at 20–25% YoY)**.

2. Revenue & Portfolio Contribution

- **Personal Care** – ~40–45% of revenues (Chik, Meera, Indica, Nyle).
- **Food & Beverages** – ~30–35% of revenues (Maa, Cavin's dairy beverages, pickles, snacks).
- **Dairy & Value-added Foods** – ~15–20% (milkshakes, lassi, curd).
- **Professional Care (Salon Division)** – ~5–10% (Blunt, professional salon products).

3. Beverage Business Statistics & Brand Strength

- **Maa Mango Drink** is among the **top regional mango beverages in South India**, with strong demand in Tamil Nadu, Karnataka, Andhra Pradesh, and Telangana.
- Maa and Cavin's beverages hold **double-digit regional market share** in fruit-based drinks and dairy beverages.
- Cavin's shakes, lassi, buttermilk, and cold coffee show **15–18% yearly category growth** in their core states.
- PET **small-pack formats (150ml–200ml)** make up the largest share of CavinKare's beverage sales due to price sensitivity.

4. Raw Material & Sourcing Footprint

- **Mango pulp sourcing** from Tamil Nadu, Andhra Pradesh, Maharashtra, and Karnataka.
- **Milk sourcing** through local dairy clusters + contract collection networks.
- **PET packaging** accounts for **65–70%** of beverage volume (industry aligned).
- **Carton/Tetra** used for premium dairy beverages and ambient juices.

5.Opportunities

- ➢ CavinKare has a strong chance to expand its footprint beyond South India by targeting high-volume northern and western markets where its value-focused products can scale quickly.
- ➢ **Entering the CSD space in a selective, India-flavoured, value-priced format gives CavinKare an opportunity to tap into a large, youth-driven segment currently dominated by global players.**
- ➢ The company can leverage its deep rural distribution network to strengthen beverage penetration in tier-2, tier-3, and rural clusters, where demand for affordable branded drinks is rising.
- ➢ Rapid growth in modern retail, quick-commerce, and on-the-go consumption opens new channels for CavinKare to premiumise selected SKUs and build stronger urban visibility.

4.2 PESTLE Analysis of Non-Alcoholic Beverage Industry
(Asia-Pacific Region Context with Implications for CavinKare)

1. Political Factors

The non-alcoholic beverage industry in Asia is significantly influenced by food regulations, taxation policies, cross-border trade duties, and government frameworks on sugar consumption and packaging. Many Asian governments have introduced sugar taxation (Thailand, Malaysia, Philippines) to address obesity concerns, driving companies to reformulate products with lower sugar levels. Food and beverage production is supervised by authorities such as FSSAI in India, CFDA in China, and regional regulatory bodies which mandate strict quality standards, labeling norms, and permissible additive levels. Political stability in countries like India, Japan, South Korea encourages investment, whereas developing economies face inconsistent policy enforcement. Import tariffs on concentrates and packaging materials also affect cost structures. Implication for CavinKare: Must ensure compliance with sugar-tax rules, maintain transparency in labeling, and consider low-sugar/functional drink formulations to align with policy direction. Regional manufacturing plants could reduce tariff exposure and logistic duties.

2. Economic Factors

Asia-Pacific is one of the fastest-growing beverage markets globally due to rising disposable income, expanding middle-class population, and rapid retail penetration. Large populous economies (India, China, Indonesia) offer massive volume consumption potential despite low per-capita intake. Economic growth has increased café culture, tourism, and urban food consumption, boosting beverage sales. However, price sensitivity is high, especially in rural South Asia, making ₹10–₹20 small pack SKUs crucial for market acceptance.

Inflation in sugar, PET resin, and transport adds cost pressure, demanding scale efficiency. Economic slowdowns reduce out-of-home consumption, but essential hydration beverages (water, energy drinks). sustain demand even during downturns Implication for CavinKare: Opportunity to capture value-driven segments with small & affordable packs, while building premium drinks for urban markets. Cost efficiency, optimized procurement, and multi-SKU strategy are economically critical.

3. Social Factors

Asia is experiencing major lifestyle transformation, where modern consumers increasingly prefer branded beverages during travel, dining, social gatherings, and work routines. The youth population in India, Indonesia, Vietnam, and Philippines has high experimentation tendency, influencing demand for novel flavors and trendy functional drinks. However, cultural consumption habits remain strong nimbu pani, lassi, coconut water, chaas, herbal drinks still dominate many rural and household segments.

Rising health awareness encourages shift from carbonated sugary drinks to water, juices, low-calorie beverages, energy drinks, and RTD tea/coffee. Convenience and portability also shape consumption single-serve PET & tetra packs are preferred in urban markets. Implication for CavinKare: Strong scope to launch beverages with Indianized flavors, functional benefits, and youth-focused packaging. Non-carbonated Maa and dairy-drinks positioning should be leveraged while entering the CSD category with modern, healthier perception.

4. Technological Factors

Technology adoption is rapidly advancing in the beverage sector with innovations in cold-chain logistics, carbonation technology, aseptic packaging, shelf-life extension, PET lightweighting, and flavor extraction. Asia is witnessing growth in vending machines, IoT retail coolers, and QR-based smart ordering. Efficient bottling automation reduces wastage and enhances production speed. Digital marketing & e-commerce enable targeted reach at lower cost compared to traditional advertising. Companies are investing in AI-based demand forecasting, smart distribution routing, and product R&D for sugar-free formulations. Implication for CavinKare: Investment in modern bottling technology and R&D labs will improve cost competitiveness. Technology-enabled D2C selling and data-driven marketing can reduce entry advertising cost against giants like Coca-Cola/PepsiCo.

5. Legal Factors

The industry is governed by legal standards for food safety (FSSAI), labeling, sugar content visibility, permissible colours/flavours, caffeine limits for energy drinks, and recyclable packaging norms. Countries like Japan & Singapore enforce strict compliance checks; India mandates best-before labels, nutritional panel, and manufacturing traceability. Growing legal restrictions on plastic waste are encouraging adoption of recyclable, bio-based, and paper-based packaging.

Advertising for children-targeted sugary beverages is monitored in several Asian markets. Implication for CavinKare: Need to adopt eco-friendly packaging initiatives, nutritional transparency, and legal compliance unit. Early adaptation to sustainability laws strengthens brand reputation and avoids future regulatory risks.

6. Environmental Factors

Climate change and sustainability concerns have significantly impacted beverage strategy. Asia faces recurring water scarcity (India, Pakistan), prompting companies to invest in water-recycling plants and groundwater recharge programs. Governments are pushing plastic reduction and recycling mandates. Consumers increasingly prefer environment-friendly packaging such as paper cartons, RPET bottles, glass, and refill solutions.

Warmer climate in Asia drives high beverage consumption during peak seasons, but also increases environmental criticism of bottled products.

Implication for CavinKare: Must adopt sustainable PET recycling, eco-conscious branding, and water positivity initiatives. Positioning Maa and future CSD brands as green-responsible will appeal to conscious urban consumers.

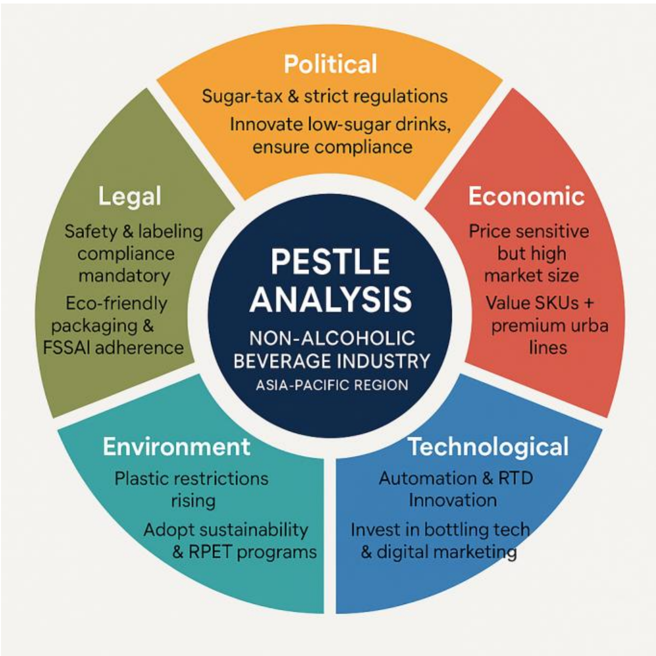

Fig 4C: PESTEL Analysis

4.3 Porter's Five Forces – CavinKare Case Study

Executive Summary

This case study evaluates CavinKare's strategic entry into the Carbonated Soft Drink (CSD) market using Porter's Five Forces. The industry is characterized by strong multinational dominance, high rivalry, strong buyer power, and large distribution barriers. However, CavinKare's regional strength, beverage experience, and value-driven positioning offer attractive strategic opportunities.

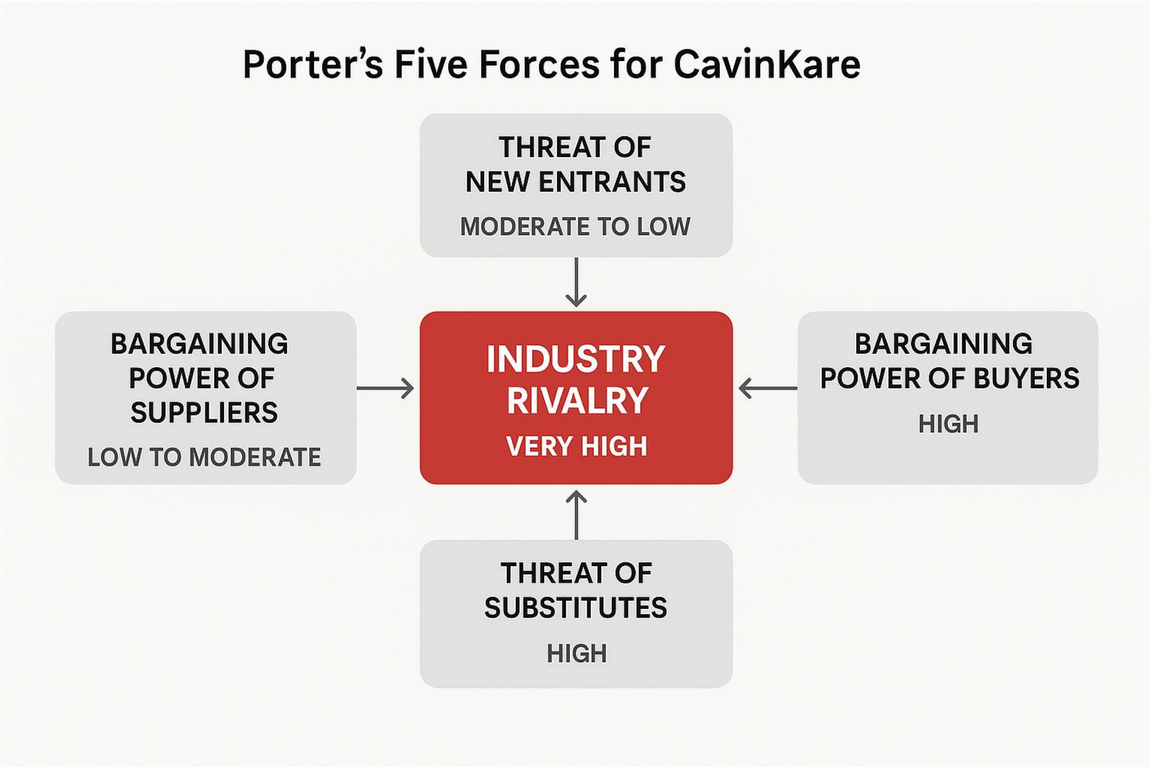

Fig 4.3.1 : Porter's Model

1. Threat of New Entrants   Moderate to Low

Entry barriers are high due to entrenched distribution networks, intense advertising, and capital requirements. CavinKare does benefit from beverage manufacturing experience.

- The soft drink industry requires **large capital investment** in bottling plants, carbonation machinery, cold-chain storage, and refrigerated retail infrastructure, making it difficult for new players to enter.
- Strong incumbents like Coca-Cola and PepsiCo enjoy **decades of brand equity, distributor loyalty, and national advertising muscle**, which new entrants cannot easily match.

- CavinKare faces a lower barrier than other entrants because it already has **established beverage production capability (Maa brand), packaging know-how, and regional distribution**, reducing entry difficulty to a moderate level.

Table 4.3.1 : . Threat of Cavinkare

Barrier	Level
Distribution Scale	High
Branding / Advertising	High
Capital Requirement	High
CavinKare Advantage	Medium–High

2. Bargaining Power of Suppliers Low to Moderate

Supplier power is limited because multiple suppliers exist for PET resin, sugar, and flavors. However, cola-concentrate dependency can increase switching cost.

- Most raw materials sugar, CO_2, PET resin, flavours are **available from multiple suppliers**, reducing supplier dominance and allowing price negotiation.
- Certain specialised inputs like **cola concentrates or unique flavour bases** may create moderate dependency because switching suppliers could affect taste consistency.
- CavinKare's existing beverage procurement volume gives it **some leverage**, though not comparable to global giants, keeping supplier power at a moderate level.

Table 4.3.2: Bargaining Power of Suppliers

Supplier Factor	Level
Supplier Concentration	Low
Switching Cost	Moderate
Input Criticality	Medium
CavinKare Leverage	Medium

3. Bargaining Power of Buyers   High

Consumers exhibit low switching cost, while retailers demand margins and visibility support.

- **3.1** Retailers, especially kirana stores, demand **high margins, cooler space support, and credit**, giving them strong influence over which brands get visibility and shelf presence.
- Consumers exhibit **very low switching cost**, readily choosing whichever brand is available, cheaper, or more visible at the point of purchase.
- Modern trade and distributors often require **listing fees and promotional support**, increasing buyer bargaining power and creating cost pressure for new entrants like CavinKare.

Table 4.3.3 : . Bargaining Power of Buyers

Buyer Factor	Level
Retailer Dominance	High
Consumer Switching	High
Margin Pressure	High
Brand Loyalty	Moderate

4. Threat of Substitutes   High

Consumers can easily switch between bottled water, juices, traditional drinks, and beverages.

- Multiple drink categories bottled water, juices, lemonade, lassi, functional beverages provide **readily available substitutes** that can replace soft drinks.
- Growing health consciousness increases consumer preference for **low-sugar or non-carbonated options**, reducing dependence on sugary soft drinks.
- Traditional beverages like **nimbu pani, buttermilk, chaas**, especially in semi-urban and rural India, act as strong cultural substitutes that lower CSD consumption.

Table 4.4.4 Threat of Substitutes

Substitute	**Strength**
Bottled Water	Strong
Functional Beverages	Strong
Juices	Moderate
Traditional Drinks	High

5. Industry Rivalry Very High

Multinational dominance, heavy advertising, and aggressive pricing make rivalry extremely high.

- Global giants dominate the market with **massive advertising budgets, celebrity endorsements, and seasonal promotions**, intensifying competitive pressure.
- Price wars are common, especially in ₹10–₹20 SKU segments, where **regional brands, local players, and national companies** compete aggressively on discounts.
- The category is relatively mature, so growth is slow, leading to **share battles instead of category expansion**, making rivalry intense and continuous.

Table 4.4.5 : CDS Industry Rivalry

Rivalry Indicator	Level
Competitor Strength	Very High
Advertising Intensity	High
Price Competition	High
Growth Rate	Moderate

Conclusion:

The CSD industry shows high rivalry, high buyer power, and significant substitute pressure. However, CavinKare can enter successfully through differentiated flavors, regional-first strategy, value pricing, strong retail incentives, and leveraging its existing beverage expertise.

5.FINDINGS AND SUGGESTIONS

5.1 Findings :

1. The global non-alcoholic beverage market continues to grow steadily, with bottled water and functional beverages becoming major demand drivers, while carbonated soft drinks are growing at a slower pace due to changing health perceptions.
2. India’s per-capita soft drink consumption (7L) remains extremely low versus Mexico (168L) and the USA (120L), indicating huge untapped potential for expansion in the coming decade.
3. Retail and convenience outlets dominate sales, with the highest beverage volume flowing through convenience stores and on-trade channels, highlighting that consumption is largely impulse-driven and out-of-home.
4. The Asia-Pacific region is currently the fastest-growing beverage market, driven by youth population, urbanisation, lifestyle modernization, and increased preference for small-pack affordable SKUs.
5. Sugar-tax policies, along with FSSAI and regulatory frameworks, are pushing manufacturers toward low-sugar, healthier, and functional drink innovations.
6. PET packaging holds the largest share (67%), yet rising environmental pressure is accelerating a shift toward recyclable, paper-based and sustainable alternatives.
7. Porter’s competitive assessment shows very high industry rivalry due to Coca-Cola and PepsiCo’s dominance, heavy marketing investment, and deep distribution penetration.
8. Buyer power is high as retailers negotiate margins and visibility, while consumers switch brands easily based on price availability, taste and promotions.
9. CavinKare is strong in the non-carbonated segment through Maa and dairy-based beverages but has limited footprint in carbonated soft drinks presenting a clear opportunity for expansion.
10. The Asian market is transitioning toward value-based offerings, ethnic flavours, dairy beverages, energy/electrolyte drinks and RTD tea/coffee, reflecting evolving health and taste preferences.
11. Beverage demand in India peaks sharply in summer, festive occasions and travel consumption cycles, demonstrating clear seasonality.

12. Increased adoption of automation, modern packaging technology and cold-chain logistics is enhancing efficiency, production scalability and shelf-life management.
13. Substitutes such as juices, tender coconut water, chaas, herbal homemade drinks remain strong competitors, especially in rural and health-oriented segments.
14. India's beverage market is price-sensitive, volume-driven and distribution-dependent. Although brand loyalty exists, the switching cost for consumers is low.
15. Entry barriers remain moderate-to-high due to capital, marketing and distribution demands, but CavinKare holds an advantage through existing manufacturing, procurement scale and beverage experience.

5.2 Suggestions :

1. CavinKare should focus on developing low-sugar, zero-sugar, functional and vitamin-enriched beverages to align with rising health awareness and sugar-tax regulations in Asia-Pacific.
2. Instead of entering nationally at once, a regional-first CSD launch strategy is advised (South India, high-temperature zones, Tier-2/3 cities), allowing controlled scaling and lower risk.
3. Distribution strength must be enhanced through cold-chain tie-ups, freezer placement programs, retailer incentive margins, and outlet-level visibility boosting.
4. The company should prioritize kirana stores, on-trade locations, multiplexes, tourism spots, and youth consumption hubs for initial push, as these channels drive maximum impulse sales.
5. Introducing ₹10 small packs in PET, tetra or pouch formats will strongly support rural penetration and affordability-driven consumption.
6. Product differentiation is essential launch Indianised/flavored fizzy drinks (jaljeera cola, masala soda), festival limited editions and nostalgia-based variants to break into a Coca-Cola/Pepsi dominated market.
7. Branding must adopt digital-first campaigns, influencer marketing, college fest activations, social media reels, rather than relying solely on expensive mass TV advertising.
8. Upgrading plants with automation, packaging optimization, PET lightweighting and efficient bottling lines will reduce production cost and improve competitiveness.
9. Sustainability initiatives should be integrated through RPET bottles, recyclable cartons, eco-label certification and water-positive manufacturing policies.
10. CavinKare should simultaneously grow in high-margin beverage segments like RTD tea/coffee, electrolyte hydration drinks and energy beverages, which show faster growth than CSD.
11. A dual-portfolio strategy is recommended Value products for mass retail and Premium beverages for urban modern trade/online to tap both consumption segments.
12. Strategic growth could be accelerated by acquiring or partnering with regional beverage brands for immediate distribution access and shared packaging/manufacturing.
13. Maa and dairy-based beverages can expand further into schools, colleges, canteens, hostels, hospitals, railway catering and institutional bulk supply.

14. Summer-season activation is crucial use free tasting kiosks, promotional chillers, outdoor branding, vending carts, beach & festival sampling events to drive trials.
15. CavinKare should build stronger demand forecasting, sales analytics, inventory & seasonal planning systems to manage fluctuations and minimise wastage/stockouts.

6. CONCLUSION

The study concludes that the non-alcoholic beverage industry is expanding steadily worldwide, with Asia-Pacific emerging as the fastest-growing region due to favourable demographics, increasing urbanisation and evolving lifestyle patterns, while India remains a highly promising market because of its significantly low per-capita consumption. Although bottled water and functional beverages are driving growth more rapidly than carbonated drinks, the market remains highly competitive, dominated by Coca-Cola and PepsiCo, with intense rivalry, high buyer bargaining power and strong substitution pressure from juices, traditional beverages and healthier alternatives. Regulatory norms, sugar-tax policies and sustainability concerns are reshaping product development towards low-sugar, functional and eco-friendly beverage formats, supported by growing technological adoption in bottling, packaging and distribution. Within this landscape, CavinKare is strategically positioned to leverage its existing capabilities from the Maa and dairy beverage portfolio to enter the carbonated segment through a differentiated, region-led approach, backed by affordability-driven SKUs, innovative flavours, digital marketing and distribution strengthening. Overall, the research confirms that the industry presents high potential but demands innovation, cost efficiency and strategic positioning, making CavinKare’s opportunity viable if executed with health-centric product offerings, strong retail integration and long-term sustainability focus.

PROGRESS REPORT

Progress Report No. 01

Name of Student	Mr. Avishkar Gajendra Jadhav
Title of the study	"An Industry Analysis of the Non-Alcoholic Beverage Market Using PESTLE and Porter's Five Forces with Growth Trends and Market Outlook, with Special Reference to Absolute Report, Pune".
Name of Organization Guide	Miss. Neha Patil
Organization	Absolute Reports
Date of Joining Organization	21-05-2025
Period of Progress Report	21/05/25 – 13/06/25
Progress	Organization Profile Finalization of Topic

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Organization Guide

PROGRESS REPORT

Progress Report No. 02

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Organization	Absolute Reports
Date of Joining Organization	21-05-2025
Period of Progress Report	14/06/25 – 06/07/25
Progress	Introduction of study Research Methodology Objectives

Signature

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PROGRESS REPORT

Progress Report No. 03

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Date of Joining Organization	16-06-2025
Period of Progress Report	07/07/25 – 29/07/25
Progress	Working on the data

Signature

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PROGRESS REPORT

Progress Report No. 04

Name of Student	Mr. Avishkar Gajendra Jadhav
Title of the study	“An Industry Analysis of the Non-Alcoholic Beverage Market Using PESTLE and Porter’s Five Forces with Growth Trends and Market Outlook, with Special Reference to Absolute Report,Pune”.
Name of Organization Guide	Miss. Neha Patil
Organization	Absolute Reports.
Date of Joining Organization	16-06-2025
Period of Progress Report	30/07/25 – 20/08/25
Progress	Findings & Suggestions

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Topic of Project	"An Industry Analysis of the Non-Alcoholic Beverage Market Using PESTLE and Porter's Five Forces with Growth Trends and Market Outlook, with Special Reference to Absolute Report,Pune".

Sr. No.	Date	Description	Discussion	Signature of Guide	Signature of Student
1		Objective, Research Methodology Finalization	Discussion of methods to collect the data		
2		Finalization of Chapter No.1 – Introduction of Study	Meaning Objective Scope		
3		Finalization of Chapter No.2 – Theoretical Background	Introduction & Discussion on Content Research & Roadmap of Analysis		
4		Finalization of Chapter No.3 –Introduction of Organization	Selected Market Research companies		
5		Finalization of Chapter No.4 –Data Analysis, Findings, Suggestions	Findings and suggestions are mentioned from the analysis		
6		Submission of First Draft of project report	Submitted		
7		Submission of Final Draft of project report	Submitted		
8		PPT Presentation of Project Work			